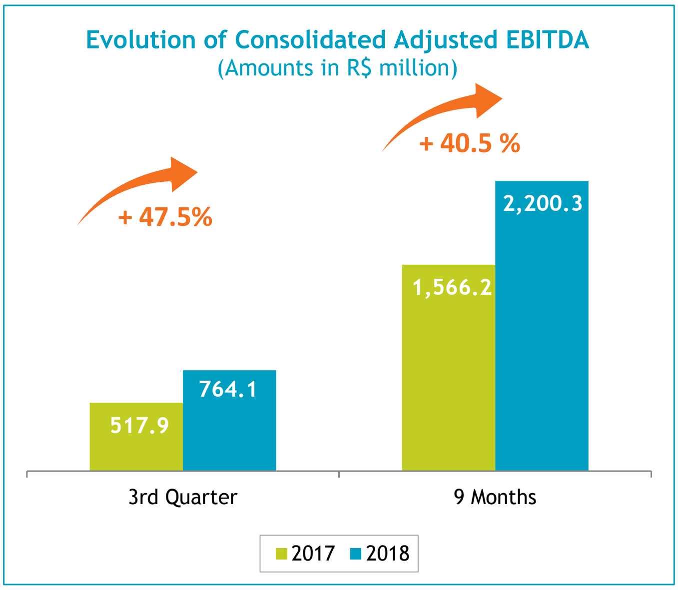
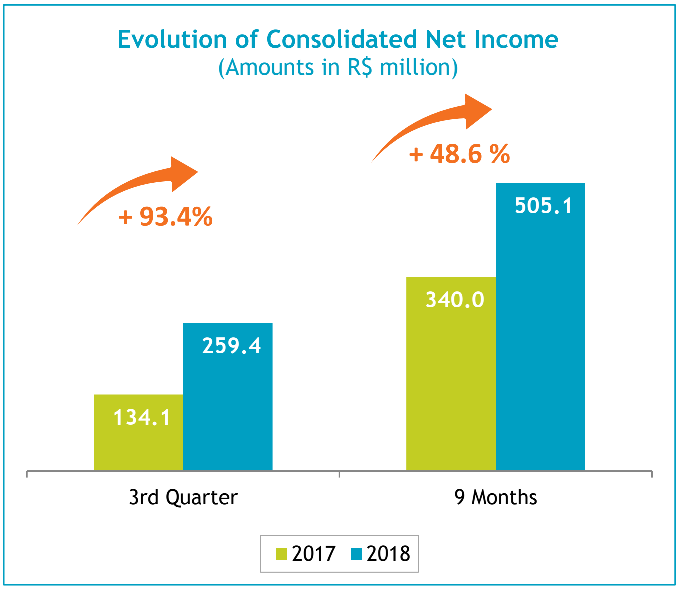
Energisa S/A | Results for the 3rd quarter of 2018

Cataguases, November 8, 2018 – Energisa S/A ("Energisa" or "Company") hereby presents its results for the third quarter (3Q18) and first nine months of 2018 (9M18), prepared in accordance with International Financial Reporting Standards - IFRS.

Headlines

Adjusted EBITDA amounts to R$ 764.1 million and net income grows by 93.4% in 3Q18





- ✓ **Consolidated net operating revenue**, not including construction revenue, grew by 12.0% (R$ 401.5 million) in 3Q18 and 20.9% (R$ 1,842.5 million) in 9M18;
- ✓ **Electricity consumption** (captive + free) grew 2.5% in 3Q18 and 2.8% in 9M18, higher than the average growth of 1.1% in Brazil over the same period (see section 2);
- ✓ **Consolidated manageable costs and expenses** rose by 10.3% (R$ 50.0 million) in 3Q18 over 3Q17; This amounted to R$ 1,535.0 million in 9M18, an increase of 1.3% (see item 3.3);
- ✓ **Cash, cash equivalents, short-term investments and sector credits** stood at R$ 3,654.7 million in September 2018, compared with R$ 3,774.8 million in June 2018;
- ✓ **Consolidated net debt** amounted to R$ 8,656.8 million in September, compared with R$ 8,362.7 million in June 2018.
- ✓ **The ratio between net debt and Adjusted EBITDA** (12 months ended September 2018) fell to 2.9, compared with 3.0 in March 2018 (see item 4.1);
- ✓ **Regarding the privatization auction,** the acquisition process **of** Centrais Elétricas de Rondônia ("Ceron") was completed on October 30, 2018. Eletroacre is expected to be taken over by December 2018; and
- ✓ Energisa's distribution companies issue debentures in the amount of R$ 1.1 billion at a cost of 103.7% of CDI.

The main figures of Energisa S/A's consolidated economic and financial performance in the third quarter and first nine months of 2018 and 2017 are as follows:

Description	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
Financial indicators - R$ million						
Gross Operating Revenue	6,155.0	5,413.2	+ 13.7	17,280.7	14,797.0	+ 16.8
Net Operating Revenue, without construction revenue	3,749.3	3,347.8	+ 12.0	10,663.7	8,821.2	+ 20.9
Manageable costs and expenses	536.2	486.2	+ 10.3	1,535.0	1,515.1	+ 1.3
EBITDA	**695.8**	**465.8**	**+ 49.4**	**2,010.4**	**1,403.6**	**+ 43.2**
Adjusted EBITDA	**764.1**	**517.9**	**+ 47.5**	**2,200.3**	**1,566.2**	**+ 40.5**
Net Income	**259.4**	**134.1**	**+ 93.4**	**505.1**	**340.0**	**+ 48.6**
Net Indebtedness (1)	8,656.8	6,137.4	+ 41.1	8,656.8	6,137.4	+ 41.1
Investments	451.3	467.7	- 3.5	1,276.4	1,546.2	- 17.4
Consolidated Operating Indicators						
Billed captive energy sales (GWh)	6,068.2	6,021.0	+ 0.8	18,626.6	18,405.5	+ 1.2
Captive sales + Billed free clients (GWh)	7,455.5	7,274.7	+ 2.5	22,580.3	21,959.9	+ 2.8
Captive sales + Billed free clients (GWh)	7,512.8	7,283.0	+ 3.2	22,485.5	21,874.4	+ 2.8
Total Number of Consumers	6,742,946	6,620,216	+ 1.9	6,742,946	6,620,216	+ 1.9
Number of Own Staff	12,799	12,422	+ 3.0	12,799	12,422	+ 3.0
Work Force (own + outsourced staff) (2)	16,791	16,210	+ 3.6	16,791	16,210	+ 3.6

(1) Includes sector credits (CDE, CCC, CVA). (2) Excludes outsourced construction workers and outsourced workers of the distribution companies registered as company staff at the service providers.

Teleconference about the Results for the 3rd Quarter of 2018

November 9, 2018
Time: 16:00 (BRT) | 13:00 (EST)
(with simultaneous translation into English)

Access for participants:
Dial in Brasil: (+55) 11 2188-0155
Dial in other countries (simultaneous interpretation): +1 646 843 6054
Password: Energisa

Links to webcast:
Click here to see the webcast in Portuguese
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Investor Relations
For further information and Release tables in Excel format, please visit Energisa's IR site:
ri.energisa.com.br
E-mail: ri@energisa.com.br

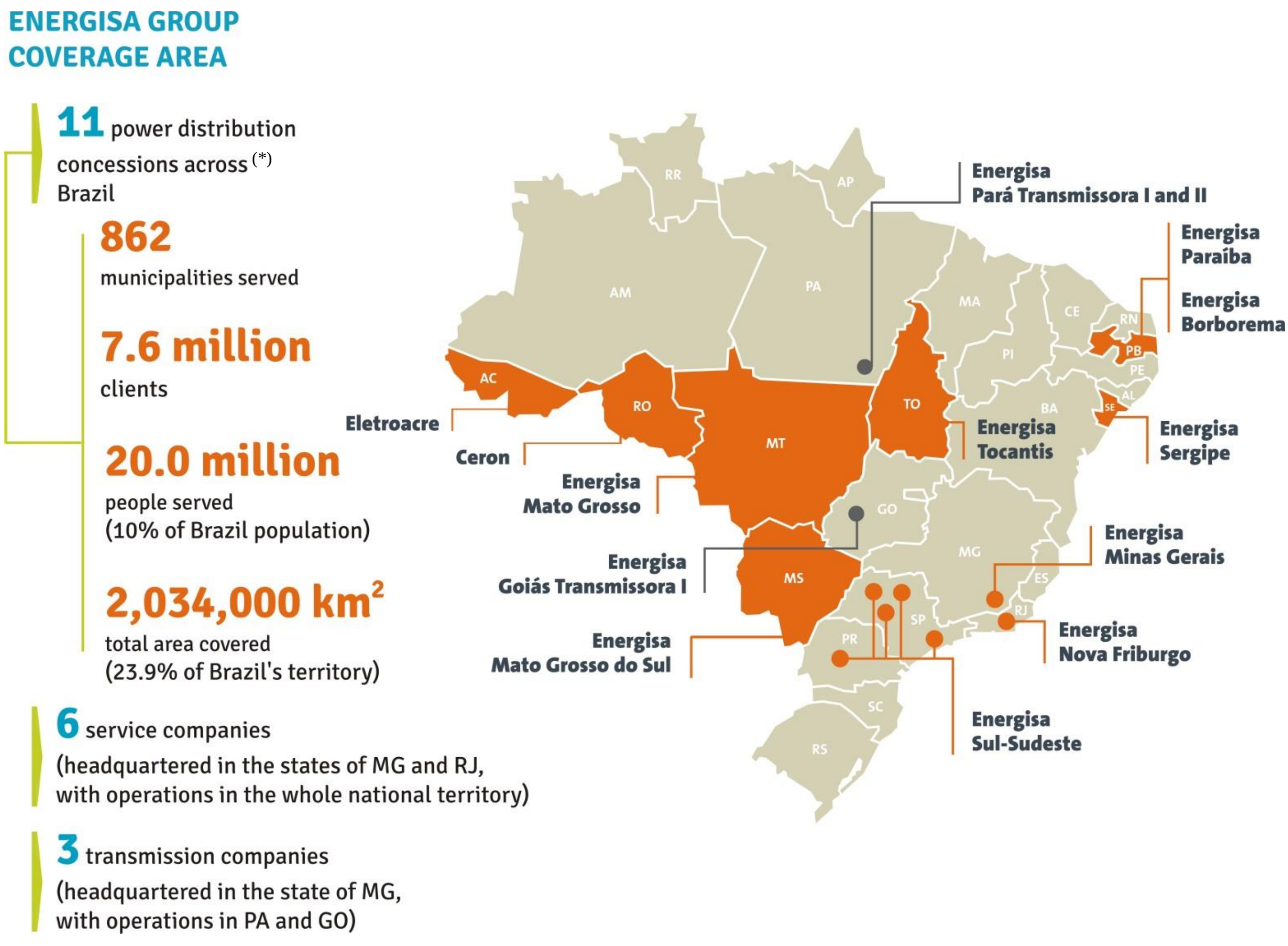
Contents

1 Corporate structure and profile

Energisa Group has completed 113 years of history and as of February 26, 2018 is the fifth largest energy distribution group in Brazil in terms of energy consumption. In our segment we serve approximately 7.6 million consumers in eleven Brazilian states (following the acquisitions of Ceron and Eletroacre) - equal to 10% of the total number of consumers in Brazil.

The Company currently controls eleven* distribution companies located in the states of Minas Gerais, Sergipe, Paraíba, Rio de Janeiro, Mato Grosso, Mato Grosso do Sul, Tocantins, São Paulo, Paraná, Acre and Rondônia, which have concession agreement expiring between 2020 and 2045, with a concession area embracing 2,034 thousand Km^2, equal to 23.9% of Brazil's landmass (Source: IBGE, July 2016).

Energisa Group's activities includes energy transmission assets (resulting from the acquisition of two lots of Transmission Auction 5/2016, held on 4/24/2017 and a lot at Transmission Auction 002/2018 held 6/28/2018), the provision of services and creation of energy generation studies. Energisa Goiás Transmissora and Energisa Pará Transmissora secured their construction licenses on September 13 and October 2, 2018, respectively.



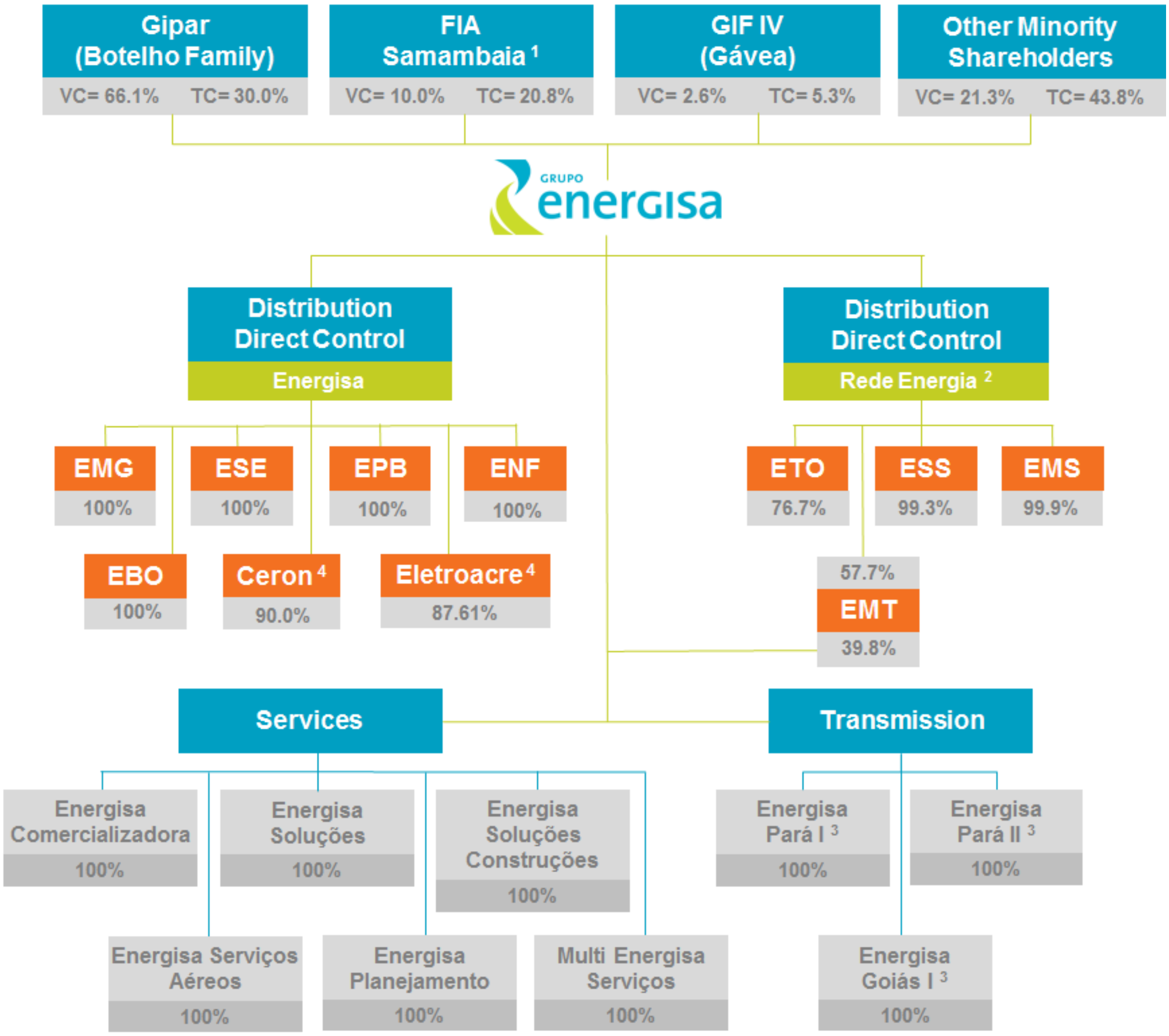
(*) Eletroacre is expected to be taken over by December 2018.

1.1 Corporate Structure of Energisa Group

Energisa Group's share control is exercised by Gipar S.A., controlled by the Botelho Family. The Company's shares are traded in Brazil on Bolsa, Balcão S.A. (B3), in São Paulo, under the symbols ENGI3 (common shares), ENGI4 (preferred shares) and ENGI11 (Units, certificates consisting of one common share and four preferred shares). Comprises Level 2 of B3 Corporate Governance.

In a privatization auction on August 30, 2018, Energisa S/A acquired a controlling interest in Centrais Elétricas de Rondônia ("Ceron") and Companhia de Eletricidade do Acre ("Eletroacre"). The discount offered by the Company for regulatory ease and grant was 21% for Ceron and 31% for Eletroacre. In accordance with the auction bidding documents, 90.00% and 87.61% of the share capital of respectively Ceron and Eletroacre were acquired.

Following the official takeover of management of the distribution utilities, the Company will complete a capital increase of R$ 253.8 million in Ceron (the takeover occurred on October 30, 2018) and R$ 238.8 million in Eletroacre (takeover planned for December 2018). In addition, the Company will acquire shares from minority shareholders representing 10% of the share capital of Ceron and Eletroacre, and the shares so acquired will be offered to the employees and retirees of these distribution companies, at a discount of approximately 10% in relation to the price paid by Energisa, for up to 3 years. Further information about these acquisitions can be seen in item 8.1 (subsequent events) of this report.



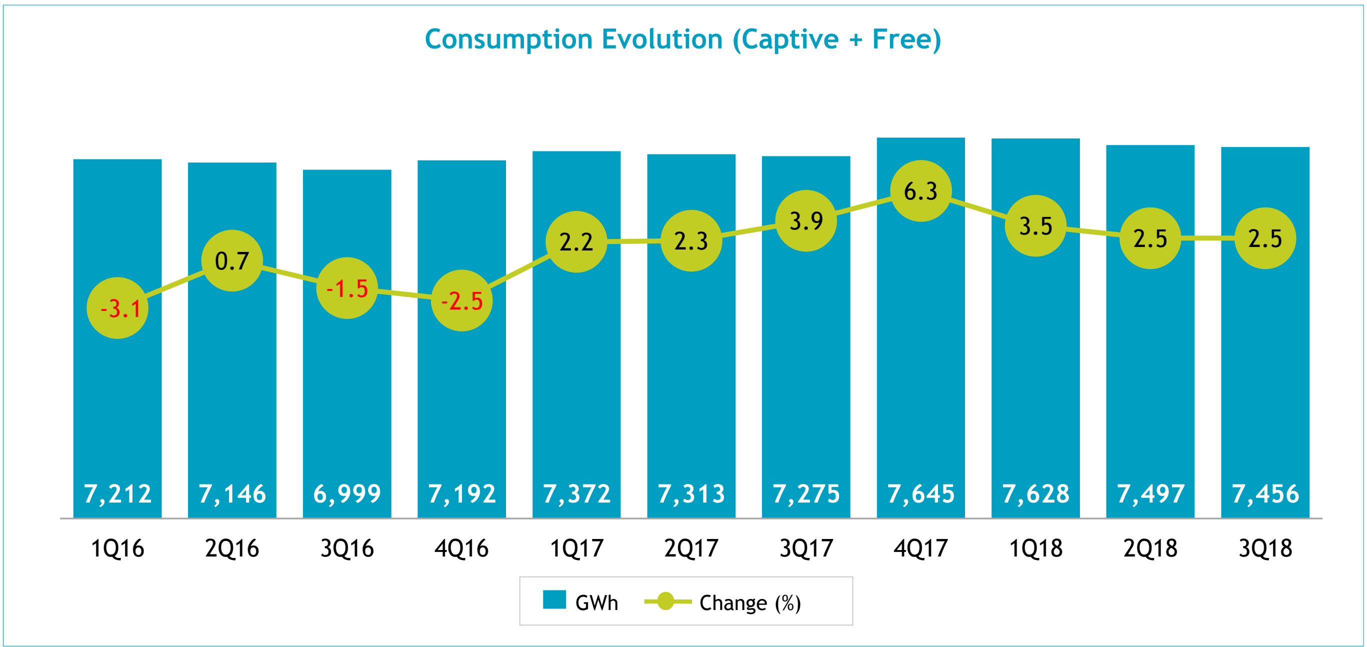
CV - Voting Capital | CT - Total Capital
(1) Share holding held directly and indirectly through investment vehicles.
(2) Energisa has an interest of 96.3% in Rede Energia Participações.
(3) Transmission SPEs (Transmission Auctions 5/2016 and 2/2018)
(4) The takeover of Ceron occurred on 30 August 2018 and the takeover of Eletroacre is planned for December 2018.

2 Operating performance

2.1 Electricity Sales

In the third quarter of 2018 (3Q18), Energisa Group's captive and free electricity consumption in its concession areas reported the same growth in the previous quarter (2Q18), to 7,455.5 GWh, which denotes an increase of 2.5% over the same period last year. If unbilled sales are included, the volume changes to 7,512.8 GWh, an increase of 3.2% in the same period.

Performance in the quarter, with growth across all classes, was primarily due to higher electricity consumption in the industrial class (+5.1% or 85.1 GWh) and especially among customers in the timber, food and mining industries, and in the rural class (+7.6% or 59.3 GWh) driven by increased irrigation due to a shortage of rainfall, and by customers in the grain storage segment.



ESS saw the highest consumption growth among DisCos in 3Q18 (+3.9% or +38.4 GWh), driven by higher consumption in the industrial segment (+6.5% or +18.2 GWh), with also-positive performance in the service areas of EPB (+3.7% or +37,1 GWh), ETO (+5.0% or +29.2 GWh), ESE (+4.7% or +32.6 GWh), EMT (+0.9% or +19.4 GWh), EBO (+9.7% or +14.2 GWh), EMS (+0.5% or +6.4 GWh) and EMG (1.3% or +4.8 GWh). Consumption declined only in the service area of ENF (-1.6% or -1.3 GWh), due largely to a decrease of 2.2% in residential consumption driven by milder temperatures in the quarter, especially in August.

The electricity sales of Energisa Group's distribution companies continue outstripping average Brazilian energy consumption. According to Empresa de Pesquisa Energética (EPE), domestic consumption in Brazil in 3Q18 was 0.8% higher than in the same quarter of the previous year. For the nine-month period, average consumption growth in Brazil was 1.1% compared to the consolidated consumption growth within Energisa of 2.8%.

Total electricity sold by Energisa Group

Description (Amounts in GWh)	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ Billed captive energy sales	6,068.2	6,021.0	+ 0.8	18,626.6	18,405.5	+ 1.2
✓ Energy transmitted to free clients (TUSD)	1,387.3	1,253.7	+ 10.7	3,953.7	3,554.4	+ 11.2
Subtotal (captive sales + free clients)	**7,455.5**	**7,274.7**	**+ 2.5**	**22,580.3**	**21,959.9**	**+ 2.8**
✓ Unbilled consumption	57.3	8.3	+ 590.4	(94.8)	(85.5)	+ 10.9
Total (captive sales + free clients + unbilled)	**7,512.8**	**7,283.0**	**+ 3.2**	**22,485.5**	**21,874.4**	**+ 2.8**

2.2 Consumption by sector

In 3Q18, the main consolidated consumption sectors performed as follows:

- **Residential sector (33.3% of total captive + free sales):** consumption grew by 0.3% or +7.9 GWh, with particularly strong performance in the service areas of ESS (+4.0% or +12.7 GWh), ETO (+4.5% or +10.7 GWh) and ESE (+4.5% or +10.3 GWh) due to the higher temperatures in these regions. In contrast, consumption declined by 3.9% or -26.4 GWh in EMT and by 2.0% or -8.1 GWh in EMS, explained by weaker performance in September due to the short-term invoicing calendar and milder temperatures compared with a higher-temperature baseline in September 2017.

- **Industrial sector (23.5% of total captive + free sales):**energy consumption in industries rose by 5.1% in the quarter or +85.1 GWh, giving consistent signs of recovery. The distribution companies most contributing to this consumption recovery were: EMS (+10.6% or 27.0 GWh, driven by the food and nonmetal mineral industries and by the startup of a new mill producing wood panels and products), EMT (+4.3% or 21.2 GWh, driven by the food and nonmetal mineral industries), ESS (+6.5% or 18.2 GWh, driven by the food and paper products industries), and ETO (+17,2% or +13.8 GWh, primarily due to higher consumption among customers in the nonmetal minerals and chemicals industries).
  ESE, the only concession to see a decline in industrial consumption, of 1.7% or -3.4 GWh, electricity demand was hurt by lower consumption in September related to the oil and textiles industry.

- **Commercial sector (18.7% of total captive + free sales):** growth of 0.1%, or +0.8 GWh. The modest growth was the result of a 4.1% or -11.2 GWh decline in EMS explained by a higher baseline in 2017 due to the warmer temperatures. This was offset by a 8.5% or +10.7 GWh increase in consumption in ESE driven by warmer temperatures and the reclassification of customers entering from the industrial sector;

- **Rural sector (11.3% of total captive + free sales):** this sector saw especially strong performance in the quarter, with consumption growing by 7.6%, or +59.4 GWh, particularly in the service areas of EMT (6.6% or +24.4 GWh, due to record high soybean processing levels in July), ESE (+65.6% or +10.3 GWh, driven by increased irrigation due to a shortage of rainfall), and EPB (+14.8% or +9.1 GWh, also due to increased irrigation due to a shortage of rainfall).

  Other sectors (13.2% of total captive + free sales):growth of 2.9% or +27.7 GWh. The street lighting sector recorded growth of 6.2% or 22.5 GWh, as a result of a street lamp inventory count.

Energisa Group's captive and free electricity consumption (22,580.3 GWh) rose in 9M18 by 2.8% over the same period last year. If unbilled sales are included, the volume changes to 22,485.5 GWh, an increase of 2.8%. Free-market rose by 11.2%. Captive consumption (18,626.6 GWh) rose by 1.2% in 9M18. Captive plus free energy consumption in the period rose significantly at the distribution companies: EMS (+3.9% or +147.4 GWh), EMT (+2.2% or +139.1 GWh), ESS (+4.0% or +122.1 GWh) and ETO (+4.2% or 70.3 GWh).

Captive Electricity Sales by Consumption Class + Free Market Sales (Consolidated)

Description Amounts in GWh	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ Residential	2,485.5	2,477.6	0.3	7,931.4	7,747.6	2.4
✓ **Industrial**	**1,748.8**	**1,663.7**	**5.1**	**5,050.4**	**4,834.7**	**4.5**
• Captive	552.6	584.2	(5.4)	1,652.6	1,762.8	(6.3)
• Free	1,196.2	1,079.5	10.8	3,397.8	3,071.9	10.6
✓ **Commercial**	**1,396.7**	**1,395.9**	**0.1**	**4,418.6**	**4,373.9**	**1.0**
• Captive	1,242.9	1,254.7	(0.9)	3,950.1	3,964.9	(0.4)
• Free	153.8	141.2	8.9	468.5	409.0	14.6
✓ **Rural**	**840.3**	**781.0**	**7.6**	**2,214.5**	**2,087.1**	**6.1**
• Captive	818.8	761.2	7.6	2,173.2	2,050.4	6.0
• Free	21.5	19.8	8.6	41.3	36.7	12.6
✓ **Other sectors**	**984.2**	**956.5**	**2.9**	**2,965.3**	**2,916.6**	**1.7**
• Captive	968.4	943.3	2.7	2,919.3	2,879.8	1.4
• Free	15.8	13.2	19.6	46.0	36.8	24.9
Energy sales to consumers (Billed Captive Sales)	**6,068.2**	**6,021.0**	**0.8**	**18,626.6**	**18,405.5**	**1.2**
Energy associated with free clients (TUSD)	1,387.3	1,253.7	10.7	3,953.7	3,554.4	11.2
Billed captive sales + free clients	**7,455.5**	**7,274.7**	**2.5**	**22,580.3**	**21,959.9**	**2.8**
Unbilled consumption	57.3	8.3	589.4	(94.8)	(85.5)	10.9
Billed captive sales + free clients + Unbilled	**7,512.8**	**7,283.0**	**3.2**	**22,485.5**	**21,874.4**	**2.8**

Note: Information per distribution company can be seen in Appendix I.

2.3 Consumption by region

Of the total captive and free sales in 3Q18, 46.5% was made in the midwest region, 25.8% in the North-East region, 19.6% in the South/Southeast regions and 8.2% in the North region. Except for ENF, all of Energisa Group's other electricity distribution companies experienced higher consumption, as shown in the table below:

Captive Sales + Free Clients by Distribution Company and Region

Description Amounts in GWh	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
North Region	**611.2**	**582.0**	**5.0**	**1,728.9**	**1,658.6**	**4.2**
✓ Energisa Tocantins (ETO)	611.2	582.0	5.0	1,728.9	1,658.6	4.2
Northeast	**1,920.5**	**1,836.6**	**4.6**	**5,949.7**	**5,824.6**	**2.1**
✓ Energisa Paraíba (EPB)	1,030.0	992.9	3.7	3,168.8	3,104.9	2.1
✓ Energisa Sergipe (ESE)	731.2	698.6	4.7	2,297.7	2,246.1	2.3
✓ Energisa Borborema (EBO)	159.3	145.1	9.7	483.2	473.6	2.0
Midwest	**3,465.1**	**3,439.3**	**0.8**	**10,379.4**	**10,092.9**	**2.8**
✓ Energisa Mato Grosso (EMT)	2,226.5	2,207.1	0.9	6,408.0	6,268.9	2.2
✓ Energisa Mato Grosso do Sul (EMS)	1,238.6	1,232.2	0.5	3,971.4	3,824.0	3.9
South/Southeast Region	**1,458.7**	**1,416.8**	**3.0**	**4,522.4**	**4,383.8**	**3.2**
✓ Energisa Minas Gerais (EMG)	366.3	361.5	1.3	1,123.0	1,106.2	1.5
✓ Energisa Nova Friburgo (ENF)	80.0	81.3	(1.5)	242.3	242.6	(0.1)
✓ Energisa Sul-Sudeste (ESS)	1,012.4	974.0	3.9	3,157.1	3,035.0	4.0
Total	**7,455.5**	**7,274.7**	**2.5**	**22,580.3**	**21,959.9**	**2.8**

2.4 Clients by concession operator

Energisa closed the first nine months of 2018 with 6,742,233 captive consumer units, or 1.9% more than at the end of September 2017. The portfolio of free consumers reached 713 consumers in 3Q18, against 627 in 3Q17.

Number of captive and free consumers by region

Distribution company	Number of Consumers								
	Captive			Free			Total		
	3Q18	3Q17	Change %	3Q18	3Q17	Change %	3Q18	3Q17	Change %
North Region	**582,973**	**571,787**	**2.0**	**27**	**21**	**28.6**	**583,000**	**571,808**	**2.0**
✓ Energisa Tocantins	582,973	571,787	2.0	27	21	28.6	583,000	571,808	2.0
Northeast	**2,408,313**	**2,373,358**	**1.5**	**114**	**99**	**15.2**	**2,408,427**	**2,373,457**	**1.5**
✓ Energisa Paraíba	1,421,463	1,401,659	1.4	51	44	15.9	1,421,514	1,401,703	1.4
✓ Energisa Sergipe	774,394	760,815	1.8	50	43	16.3	774,444	760,858	1.8
✓ Energisa Borborema	212,456	210,884	0.7	13	12	8.3	212,469	210,896	0.7
Midwest	**2,409,103**	**2,361,327**	**2.0**	**364**	**331**	**10.0**	**2,409,467**	**2,361,658**	**2.0**
✓ Energisa Mato Grosso	1,391,917	1,352,792	2.9	209	197	6.1	1,392,126	1,352,989	2.9
✓ Energisa Mato Grosso do Sul	1,017,186	1,008,535	0.9	155	134	15.7	1,017,341	1,008,669	0.9
South/Southeast Region	**1,341,844**	**1,313,117**	**2.2**	**208**	**176**	**18.2**	**1,342,052**	**1,313,293**	**2.2**
✓ Energisa Minas Gerais	454,049	444,408	2.2	52	50	4.0	454,101	444,458	2.2
✓ Energisa Nova Friburgo	107,729	105,385	2.2	9	7	28.6	107,738	105,392	2.2
✓ Energisa Sul Sudeste	780,066	763,324	2.2	147	119	23.5	780,213	763,443	2.2
Total	**6,742,233**	**6,619,589**	**1.9**	**713**	**627**	**13.7**	**6,742,946**	**6,620,216**	**1.9**

2.5 Energy Balance Sheet

Energy Balance Sheet - Energisa Distribution Companies

Description (Amounts in GWh)	9 months in 2018 (9M18)				
	EMG	ENF	ESE	EBO	EPB
(a) Total Energy Sold (a=b+c+d)	**913.2**	**222.1**	**2,098.2**	**414.8**	**2,736.8**
(b) Energy sold in the captive market	913.7	222.2	1,806.1	415.8	2,741.9
✓ Residential	386.1	122.1	780.8	182.1	1,260.0
✓ Industrial	94.7	21.8	151.1	51.5	236.5
✓ Commercial	166.7	48.2	377.9	103.3	513.1
✓ Rural	145.7	3.9	83.7	17.5	198.8
✓ Public sector and own consumption	120.6	26.2	412.7	61.4	533.5
(c) Unbilled consumption	(0.5)	(0.1)	(3.6)	(1.0)	(5.1)
(d) Power supply to distribution utilities	-	-	295.6	-	-
(e) Injected energy (e=a+f+g+h)	**1,314.2**	**281.0**	**2,912.1**	**540.1**	**3,769.4**
(f) Transmission of energy free clients	209.3	20.2	491.6	67.4	426.9
(g) Energy exchange	51.9	27.1	65.5	26.4	136.5
(h) Distribution losses	139.9	11.7	256.8	31.6	469.2
(i) Total Energy Received (i=a+h+j+k)	**1,103.4**	**233.8**	**2,506.3**	**472.0**	**3,437.5**
(j) Losses in High-Voltage National Grid	10.9	-	60.1	8.6	79.1
(K) Sale of Electricity CCEE	39.4	-	91.2	17.0	152.4

Energy Balance Sheet - Energisa Distribution Companies (continued)

Description (Amounts in GWh)	9 months in 2018 (9M18)				
	EMT	EMS	ETO	ESS	Consolidated
(a) Total Energy Sold (a=b+c+d)	**5,260.4**	**3,181.3**	**1,579.8**	**2,448.5**	**18,855.1**
(b) Energy sold in the captive market	5,262.9	3,244.4	1,574.0	2,445.5	18,626.6
✓ Residential	2,057.6	1,360.5	719.2	1,063.1	7,931.4
✓ Industrial	483.4	228.1	126.2	259.3	1,652.6
✓ Commercial	1,144.6	768.7	296.2	531.4	3,950.1
✓ Rural	892.7	418.6	171.9	240.4	2,173.3
✓ Public sector and own consumption	684.6	468.6	260.4	351.3	2,919.3
(c) Unbilled consumption	(2.7)	(63.2)	5.8	(24.5)	(94.8)
(d) Power supply to distribution utilities	0.2	-	-	27.4	323.3
(e) Injected energy (e=a+f+g+h)	**7,570.7**	**4,496.4**	**2,006.0**	**3,441.7**	**26,331.6**
(f) Transmission of energy free clients (TUSD)	1,145.0	726.9	154.9	711.5	3,953.7
(g) Energy exchange	2.0	16.8	5.9	54.6	386.6
(h) Distribution losses	1,163.3	571.4	265.4	227.0	3,136.2
(i) Total Energy Received (i=a+h+j+k)	**6,833.9**	**4,142.7**	**2,001.2**	**2,872.6**	**23,603.2**
(j) Losses in High-Voltage National Grid	102.4	47.6	28.5	93.0	430.2
(K) Sale of Electricity CCEE	307.8	342.4	127.4	104.1	1,181.7

2.6 Contracts Portfolio

Contracts Portfolio - Energisa Group's Distribution Companies

Description (Amounts in GWh)	9 months in 2018 (9M18)				
	EMG	ENF	ESE	EBO	EPB
(a) Energy purchased	**1,019.6**	**233.7**	**2,497.7**	**471.7**	**3,427.9**
✓ Bilateral	358.5	-	96.4	66.7	328.4
✓ Energy Auctions	175.5	-	1,589.7	221.0	1,953.1
✓ Itaipu Quota	190.9	-	-	-	-
✓ PROINFA Quota	21.8	5.7	49.8	10.2	66.2
✓ ANGRA Quota	35.7	-	82.3	20.7	110.8
✓ Physical Guarantee Quota (90%)	237.2	-	679.4	153.1	969.4
✓ Supply Contract	-	228.0	-	-	-
✓ Generation distributed	-	-	-	-	-
(b) Internal Generation / Embedded / Desverticalized	79.3	0.1	1.7	0.3	3.8
(c) Settlement at CCEE	4.5	-	7.0	-	5.8
(d) Total Electricity Received (d=a+b+c)	**1,103.4**	**233.8**	**2,506.3**	**472.0**	**3,437.5**

Portfolio of Contracts - Energisa Group Distribution Companies (Continued)

Description (Amounts in GWh)	9 months in 2018 (9M18)				
	EMT	EMS	ETO	ESS	Consolidated
(a) Energy purchased	**5,740.1**	**3,947.0**	**1,874.0**	**2,807.4**	**22,019.0**
✓ Bilateral	1,324.1	-	190.7	433.6	2,798.3
✓ Energy Auctions	2,001.2	2,036.9	1,160.6	977.7	10,115.8
✓ Itaipu Quota	959.4	658.6	-	581.4	2,390.4
✓ PROINFA Quota	122.5	76.5	37.4	58.1	448.1
✓ ANGRA Quota	179.4	123.1	50.6	108.7	711.4
✓ Physical Guarantee Quota (95%)	1,148.7	965.7	434.6	647.9	5,236.1
✓ Supply Contract	-	-	-	-	228.0
✓ Generation distributed	4.8	86.1	-	-	91.0
(b) Internal Generation / Embedded / Desverticalized	1,043.2	152.8	113.2	30.5	1,424.8
(c) Settlement at CCEE	50.6	42.9	14.0	34.6	159.5
(d) Total Electricity Received (d=a+b+c)	**6,833.9**	**4,142.7**	**2,001.2**	**2,872.6**	**23,603.2**

2.7 Electricity losses

Consolidated total losses in September 2018 amounted to 4,046.8 GWh, or 11.60% of the injected energy, down by 0.23 percentage points on the result for September 2017 and 0.26 percentage points over June 2018.

EMS and ETO recorded particularly significant loss reductions to respectively 12.35% and 12.62% of the electricity requirement, a level 1.55 and 1.32 percentage points, respectively, below the regulatory limit, and one of the best levels to date since these distribution utilities were acquired by Energisa Group.

ENF achieved its lowest ever level of losses (3.93%, vis-a-vis the regulatory limit of 5.84%).
Losses at EMT decreased by 0.20 percentage points compared with September 2017 and by 0.28 percentage points compared with June 2018, largely as a result of tamper-proofing implemented at consumer units with a history of recurrent fraud. An agreement was also included with the Office for Public Security to improve the effectiveness of loss suppression efforts. Total losses at EMT remain above, but are gradually approaching, the regulatory limit.

EPB recorded a slight, 0.15 percentage point increase in losses compared with September 2017, and a 0.24 percentage point increase over to June 2018 due to seasonal factors, given the start of operations of windfarms in the concession, and adjustments to the electrical parameters used in calculating technical losses, which resulted in higher non-technical losses. Losses are expected to fall within the regulatory limit over the coming quarters.

As mentioned in the previous quarters, the injected energy was recalculated and the energy supplied to Sulgipe removed during ESE's rate review process. On the same comparison basis, ESE's total losses would be 9.64% (Sep/17) and the Group's consolidated losses would be 11.96% (Sep/17). The regulatory limit has also been revised to reflect this adjustment.

As reported in recent reports, EMG's total losses are influenced by technical losses, which in turn are impacted by the hydroelectric generation volume distributed in its area.

Energy Losses (% in past 12 months)

Discos	Technical Losses (%)			Non-Technical Losses (%)			Total Losses (%)			ANEEL
% Injected energy (12 months)	Sep-17 (*)	Jun-18	Sep-18	Sep-17 (*)	Jun-18	Sep-18	Sep-17 (*)	Jun-18	Sep-18	
EMG	10.18	9.91	10.05	-0.01	0.69	0.31	10.17	10.60	10.35	9.63
ENF	5.20	4.66	4.61	-0.75	-0.55	-0.68	4.45	4.11	3.93	5.84
ESE	7.09	7.22	7.08	1.62	2.40	2.54	8.71	9.62	9.62	10.42
EBO	7.97	6.79	6.63	-2.52	0.21	-0.69	5.45	7.00	5.95	7.41
EPB	10.57	9.62	9.57	2.08	2.94	3.23	12.64	12.55	12.79	12.71
EMT	9.65	9.45	9.46	4.93	5.22	4.93	14.59	14.67	14.39	13.70
EMS	9.85	9.68	9.31	3.54	3.38	3.04	13.40	13.06	12.35	13.90
ETO	11.44	11.49	11.38	2.22	1.41	1.24	13.66	12.89	12.62	13.94
ESS	6.46	6.34	6.27	0.28	-0.03	-0.19	6.73	6.31	6.08	6.72
Energisa - Consolidated	**9.20**	**8.95**	**8.85**	**2.64**	**2.91**	**2.75**	**11.83**	**11.86**	**11.60**	**11.93**

Scores: To calculate the percentages presented above, we considered the values of unbilled energy. All distribution companies are undergoing CRTP 4. The A1 Free Market was included in the calculation of the Total Realized and Regulatory Loss.
*Amounts reclassified due to the rerecording of energy for the accrual period September 2017.

Energy Losses (In GWh in past 12 months)

Losses in 12 months In GWh	Technical Losses			Non-Technical Losses			Total Losses			
	Sep/17 (*)	Jun/18	Sep/18	Sep/17 (*)	Jun/18	Sep/18	Sep/17 (*)	Jun/18	Sep/18	Change (%)[1]
EMG	171.3	172.6	176.3	- 0.1	12.0	5.4	171.2	184.7	181.6	- 1.6
ENF	19.3	17.5	17.3	- 2.8	-2.1	- 2.6	16.5	15.4	14.8	- 4.4
ESE	270.4	250.2	249.6	61.6	83.1	89.7	332.0	333.3	339.3	+ 1.8
EBO	56.2	48.3	48.1	- 17.8	1.5	- 5.0	38.4	49.8	43.1	- 13.5
EPB	526.4	482.0	488.3	103.5	147.2	164.6	629.9	629.2	652.9	+ 3.8
EMT	937.4	951.3	953.8	479.1	526.0	497.6	1,416.5	1,477.3	1,451.4	- 1.8
EMS	582.8	591.4	563.6	209.5	206.4	184.2	792.4	797.9	747.7	- 6.3
ETO	291.4	302.2	303.4	56.5	37.1	33.0	347.9	339.3	336.4	- 0.8
ESS	287.4	290.5	288.3	12.2	- 1.6	-8.7	299.6	288.9	279.6	- 3.2
Energisa - Consolidated	**3,142.5**	**3,106.1**	**3,088.6**	**901.8**	**1,009.7**	**958.3**	**4,044.3**	**4,115.8**	**4,046.8**	**- 1.7**

[1] Change September 2018/June 2018.
*Amounts reclassified due to the rerecording of energy for the accrual period September 2017.

2.8 Default management
2.8.1 Default Rate

In the past 12 months ended September 2018, default (calculated as the percentage ratio between the allowance for doubtful accounts (PCLD) and the unbilled supply) was 0.66%. This amount is 0.04 percentage points lower than the default recorded in the same period of 2017, of 0.70%. The 2018 indicator reflects the following nonrecurring effect:

- ESE: the provision for the settlement with CODEVASF was reversed in 2Q17 (R$ 13.4 million). If this reversal were disregarded, default by ESE's consumers in 3Q18 (which was a negative 0.04%) would have been 0.88%.

Excluding the nonrecurring effects above, distribution business consumer default in 3Q18 on a consolidated basis would have been 0.74%, up 0.04 percentage points from 2017.

The 0.37 percentage-point increase at EPB is due to increased default in the Residential Segment, and the 0.39 percentage point increase at EMS is explained by outstanding receivables from a customer in the public healthcare sector (hospital). To reduce default levels, Energisa has implemented initiatives that include hiring extra disconnection crews, blacklisting non-paying customers, increased debt renegotiation efforts, and using artificial intelligence-based analytics.

Despite the economic crisis in Brazil, consolidated default rates remained below 1.0% for the seventh consecutive quarter, even when adjusted for nonrecurring items.

Default (PCLD 12 Months / Sales 12 Months)	Last 12 months (%)		
	Sep/18	Sep/17	Change in percentage points
EMG	0.22	0.15	+ 0.07
ENF	0.22	0.32	- 0.11
ESE	(0.04)	0.74	-
EBO	0.55	(1.19)	-
EPB	0.96	0.59	+ 0.37
EMT	1.13	1.47	- 0.34
EMS	0.76	0.37	+ 0.39
ETO	0.43	0.57	- 0.14
ESS	(0.09)	0.06	-
Energisa - Consolidated	**0.66**	**0.70**	**- 0.04**

2.8.2 Collection Rate

Energisa Group's consolidated collection rate (the ratio of collected accounts in the past 12 months to cumulative billed amounts over that period) remained constant in relation to September 2017.

At EBO, the collection ratio increased by 1.04 percentage points in connection with receivables recoveries in the "street lighting" sector (the negotiations were concluded in October 2018). At ETO, a 0.62 percentage point increase was influenced by the relative default of the state government.

The collection ratio at ESE decreased by 0.96 percentage points largely due to state government debt that is in the process of being collected and negotiated.

Collection Success Rate (%)	Last 12 months (%)		
	Sep/18	Sep/17	Change in percentage points
EMG	98.34	98.41	- 0.07
ENF	98.32	98.20	+ 0.12
ESE	96.88	97.82	- 0.96
EBO	98.67	97.65	+ 1.04
EPB	97.25	97.17	+ 0.08
EMT	96.64	96.53	+ 0.11
EMS	96.79	96.89	- 0.11
ETO	97.28	96.68	+ 0.62
ESS	99.09	99.11	- 0.02
Energisa - Consolidated	**97.27**	**97.27**	**-**

2.9 Service quality indicators - DEC and FEC

All the Group's distribution companies are with the regulatory limit for the FEC.

Regarding the DEC, EMT reached 22.99 hours, going back to the regulatory limit (23.09 hours) and achieving its lowest value since the Company's acquisition by Energisa Group, decreasing more than 2 hours in the 12-month period ended September 2018 compared with September 2017.

In September a non-final decision by ANEEL in regard to the impacts from the March 2018 system outage resulted in an increase in the DEC and FEC indicators for EPB, EBO, ESE and ETO. As a result, all distribution companies affected by the outage were required to adjust their DEC/FEC values for the relevant month, affecting the overall indicator. It is important to note, however, that these types of events (occurring in the power generation and transmission systems) are external to the distribution system, are not a measure of its performance, and are beyond the control of the distribution company. Energisa has appealed to ANEEL for a review of its decision.

Out of the group's nine distribution companies, only ETO is momentarily positioned above the DEC regulatory limit, although it has fallen by 5.04 hours (16.2%) in relation to September 2017. DEC was within the regulatory limit since February 2018, and reached its best historic level in July 2018. If it had not been for the aforementioned atypical event in March, ETO would also be within the Dec regulatory target.

Climate conditions supported positive DEC performance at ESE and EPB, with a reduction of respectively 2.63 hours and 2.17 hours despite the impacts from the outage, which increased the DEC value by 0.66 hours for ESE and by 1.08 hours for EPB.

The quality indicators performed as followed in September 2018 (12 months):

Discos	DEC (hours)			FEC (times)			DEC Limit	FEC Limit
12 months moving average	Sep-18	Sep-17	Change (%)	Sep-18	Sep-17	Change (%)	Sep-18	Sep-18
EMG	10.01	8.69	+ 15.2	5.41	5.00	+ 8.2	11.44	8.91
ENF	6.49	6.24	+ 4.0	4.04	4.59	- 12.0	10.19	9.44
ESE	10.89	13.52	- 19.5	6.66	7.51	- 11.3	12.37	8.87
EBO	6.13	4.16	+ 47.4	2.83	2.66	+ 6.4	13.14	9.84
EPB	14.03	16.20	- 13.4	5.71	7.11	- 19.7	17.17	10.65
EMT	22.99	25.04	- 8.2	10.68	12.93	- 17.4	23.09	18.97
EMS	10.95	11.94	- 8.3	4.97	5.89	- 15.5	11.90	8.63
ETO	25.99	31.03	- 16.2	11.58	12.35	- 6.2	25.88	17.99
ESS	6.33	6.07	+ 4.3	4.80	4.89	- 1.8	8.12	8.25

Note: Weighted averages according to the number of clients were calculated for the presentation of Energisa Sul/Sudeste. The data presented is obtained from ANEEL databases and can be changed if requested by the regulator.

2.10 Electricity trading

By way of its electricity trading company Energisa Comercializadora (ECOM), in 3Q18 Energisa S/A's sales were 1,140 GWh, up by 0.5% on 3Q17, to its 535 sales contracts/clients (increase of 53% on the 286 clients/sales contracts in 3Q17). Sales amounted to 3,549 GWh in YTD 9M18.

Description Amounts in GWh	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
Sales to free consumers (Energisa Comercializadora)	1,140	1,134	+ 0.5	3,549	2,830	+ 25.4

3 Financial performance

3.1 Gross and net operating revenue and EBITDA

In 3Q18, consolidated gross operating revenue, excluding construction revenue, amounted to R$ 5,802.3 million, an increase of 15.2% (or R$ 765.0 million) over the 5,037.3 million recorded in 3Q17. The main factors driving this growth were:

i) Growth of R$ 678.8 million in gross captive revenue
ii) A R$ 108.3 million improvement in network usage charges (Free Clients);
iii) Increase of R$ 63.3 million in unbilled sales;
iv) A R$ 56.6 million increase in concession subsidies;
v) Increase of R$ 26.6 million in the concession's financial assets (VNR);

In turn, consolidated net operating revenue, excluding construction revenue, amounted to R$ 3,749.3 million, an increase of 12.0% (or R$ 401.5 million) over the 3,347.8 million recorded in 3Q17.

See below the operating revenue by consumption sector:

Operating revenue by consumption sector Description (R$ million)	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
(+) Electricity revenue (captive market)	**4,314.8**	**3,636.0**	**+ 18.7**	**12,045.2**	**11,016.5**	**+ 9.3**
Residential	1,924.9	1,618.1	+ 19.0	5,549.8	5,000.1	+ 11.0
Industrial	394.5	364.9	+ 8.1	1,079.9	1,097.3	- 1.6
Commercial	1,004.6	856.4	+ 17.3	2,857.9	2,643.7	+ 8.1
Rural	449.3	352.4	+ 27.5	1,098.6	954.2	+ 15.1
Other sectors	541.5	444.2	+ 21.9	1,459.0	1,321.2	+ 10.4
(+) Electricity sales to distributors	189.1	219.5	- 13.8	711.3	492.9	+ 44.3
(+) Net Unbilled Sales	64.2	0.9	+ 7,033.3	79.8	(33.3)	-
(+) Electricity traded (ECOM)	281.4	242.1	+ 16.2	766.8	581.9	+ 31.8
(+) Electricity network usage charges (Free Clients)	342.3	234.0	+ 46.3	832.8	659.7	+ 26.2
(+) Construction revenue	352.7	375.9	- 6.2	997.0	1,048.9	- 4.9
(+) Creation and amortization - CVA	236.9	409.4	- 42.1	643.4	183.6	+ 250.4
(+) Subsidies for services awarded under concession	299.9	243.3	+ 23.3	821.8	692.3	+ 18.7
(+) Concession financial assets (VNR)	37.3	10.7	+ 248.6	276.1	32.1	+ 760.1
(+) Other revenue	36.4	41.4	- 12.1	106.5	122.4	- 13.0
(=) Gross revenue	**6,155.0**	**5,413.2**	**+ 13.7**	**17,280.7**	**14,797.0**	**+ 16.8**
(-) Sales taxes	1,550.1	1,328.6	+ 16.7	4,351.9	3,871.8	+ 12.4
(-) Rate flag deductions	74.4	30.0	+ 148.0	71.3	48.5	+ 47.0
(-) Sector charges	428.5	330.9	+ 29.5	1,196.8	1,006.6	+ 18.9
(=) Net revenue	**4,102.0**	**3,723.7**	**+ 10.2**	**11,660.7**	**9,870.1**	**+ 18.1**
(-) Construction revenue	352.7	375.9	- 6.2	997.0	1,048.9	- 4.9
(=) Net revenue, without construction revenue	**3,749.3**	**3,347.8**	**+ 12.0**	**10,663.7**	**8,821.2**	**+ 20.9**

In 9M18 YTD, consolidated gross operating revenue, excluding construction revenue, amounted to R$ 16,283.7 million, an increase of 18.4% (or R$ 2,535.6 million) over the R$ 13,748.1 million recorded in 9M17. This performance was driven by the following factors:

i) Growth of R$ 1,028.7 million in gross captive revenue
ii) Increase of R$ 244.0 million in the concession's financial assets (VNR);
iii) A R$ 173.1 million improvement in network usage charges (Free Clients);
iv) A R$ 129.5 million increase in concession subsidies; and
v) Increase of R$ 113.1 million in net unbilled sales.

Consolidated net operating revenue in in 9M18, excluding construction revenue, amounted to R$ 10,663.7 million, an increase of 20.9% (or R$ 1,842.5 million) over the R$ 8,821.2 million recorded in 9M17. This performance was driven by the following factors:

See below the net operating revenue by company:

Net revenue by segment Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
I - Distribution of electricity	**3,834.8**	**3,492.3**	**+ 9.8**	**10,915.0**	**9,316.4**	**+ 17.2**
✓ EMG	191.5	188.9	+ 1.4	525.9	495.9	+ 6.0
✓ ENF	39.6	35.3	+ 12.2	113.1	101.4	+ 11.5
✓ ESE	322.1	307.0	+ 4.9	978.9	853.9	+ 14.6
✓ EBO	68.0	66.4	+ 2.4	199.2	188.3	+ 5.8
✓ EPB	482.7	408.5	+ 18.2	1,477.1	1,184.1	+ 24.7
✓ EMT	1,230.0	1,119.8	+ 9.8	3,321.6	2,882.9	+ 15.2
✓ EMS	663.7	589.3	+ 12.6	1,901.6	1,613.8	+ 17.8
✓ ETO	389.8	352.0	+ 10.7	1,176.1	906.6	+ 29.7
✓ ESS	447.4	425.1	+ 5.2	1,221.5	1,089.5	+ 12.1
II - Electricity sales and services	**369.7**	**323.0**	**+ 14.5**	**1,028.1**	**781.5**	**+ 31.6**
✓ Energisa Comercializadora (ECOM)	255.6	219.1	+ 16.7	696.4	524.5	+ 32.8
✓ Energisa Soluções Consolidated (ESOL consolidated)	43.1	52.0	- 17.1	115.0	135.9	- 15.4
✓ Energisa S/A (ESA)	44.4	42.9	+ 3.5	121.6	90.0	+ 35.1
✓ Multi Energisa	8.3	7.8	+ 6.4	24.1	27.8	- 13.3
✓ Energisa Transmissora Goiás I (EGO I)	9.1	-	-	31.8	-	-
✓ Energisa Transmissora Pará I (EPA I)	8.1	-	-	36.0	-	-
✓ Other (*)	1.1	1.2	- 8.3	3.2	3.3	- 3.0
(=) Total	**4,204.5**	**3,815.3**	**+ 10.2**	**11,943.1**	**10,097.9**	**+ 18.3**
(=) Energisa Consolidated	**4,102.0**	**3,723.7**	**+ 10.2**	**11,660.7**	**9,870.1**	**+ 18.1**
(-) Construction revenue	352.7	375.9	- 6.2	997.0	1,048.9	- 4.9
(=) Energisa Consolidated, without construction revenue	**3,749.3**	**3,347.8**	**+ 12.0**	**10,663.7**	**8,821.2**	**+ 20.9**

(*) Energisa Planejamento e Corretagem de Seguros Ltda. and Energisa Serviços Aéreos de Aeroinspeção S/A.
Note: Net revenue by consumption sector and distribution company can be seen in Appendix I.

3.2 Regulatory Environment

3.2.1 Portion A costs memorandum account - CVA

In 3Q18 there was a decrease of R$ 172.5 million in the creation (net of amortization) of the Compensation Account for the Variation in the Values of the Items of A Portion (CVA) in relation to 3Q17. In 9M18 the increase was R$ 459.8 million in the creation (net of amortization) in the Compensation Account for the Variation in the Values of the Items of A Portion (CVA) in relation to 9M17;

The CVA is a regulatory mechanism introduced by Interministerial Ordinance 25/02 intended to record the changes in costs incurred on energy purchases, energy transportation and sector charges in the period between the distribution company's rate events. This mechanism aims to neutralize the effects of these costs, of the “A Portion” and the whole rate pass-through assured, on the distribution company’s earnings.

3.2.2 Overcontracting

Provisions were made in the 2016 financial statements for expenses incurred on energy services that cannot be passed through to the rate, in the amount of R$ 45.0 million.

In 2017 the distribution companies revised the purchase levels in 2016, taking into account the updated regulatory parameters and retroactive bilateral agreements. Provisions for overcontracting for FY 2016 were reversed in FY 2017, with R$ 4.3 million being presented in the income statement in 2Q17 and R$ 36.9 million in 4Q17. Previous provisions were accordingly reduced by R$ 41.2 million. The Company also calculated the effects of overcontracting for FY 2017, determining the positive amount of R$ 8.4 million, recorded in the income statement for the year which will be recognized in rates as from the next rate adjustment. The effects of reversing the 2016 provision and calculating the overpurchase in 2017 therefore jointly amount to a nonrecurrent R$ 49.5 million in the income statement for this year.

Contract levels did not affect the results of operations during the first nine months of 2018.

3.2.3 Rate flags

The "Rate Flag System" came into force in January 2015, which automatically passes through to end consumers the cost incurred by the distribution company whenever energy purchases are affected by more expensive thermal energy, thereby diminishing the financial burden between the rate adjustments. There are green, yellow and red rate flags, which indicate whether electricity will cost more or less as a result of the electricity generation conditions.

The following rates apply from November 2017:

- Green flag: no surcharges (good conditions for energy generation)
- Yellow flags: R$ 2.00 for each 100 (kWh)
- Red flag - Level 1: R$ 3.00 for each 100 (kWh)
- Red flag - Level 2: R$ 5.00 for each 100 (kWh)

In 3Q18 Energisa's consolidated revenue from rate flags was R$ 317.7 million, compared with R$ 93.0 million in 3Q17. In 9M18, they amounted to R$ 332.9 million, as compared to R$ 234.0 million in 9M17.

3.2.4 Rate reviews and adjustments

All Group distribution companies have completed the 4th Rate-Setting Review Cycle ("4CRTP"). The effects for consumers deriving from the latest adjustment process and rate review of each Energisa Group distribution company in 2017 and 2018 were as follows:

Distribution company	Effect on Consumers (%)			Start of term	Review Process
	Low Voltage	High and Medium Voltage	Medium-voltage		
EPB	+ 15.41	+ 16.75	+ 15.73	8/28/2018	Annual Adjustment
EBO	+ 16.83	+ 21.54	+ 18.21	2/4/2018	Annual Adjustment
EMT	+ 13.98	+ 5.94	+ 11.53	4/8/2018	4CRTP
EMS	+ 10.65	+ 7.91	+ 9.87	4/8/2018	4CRTP
ESE	+ 9.85	+ 13.92	+ 11.30	4/22/2018	4CRTP
EMG	+ 11.21	+ 15.44	+ 12.05	6/22/2018	Annual Adjustment
ENF	+ 13.43	+ 16.21	+ 13.95	6/22/2018	Annual Adjustment
ETO	+ 10.15	+ 10.04	+ 10.13	7/4/2018	Annual Adjustment
ESS	+ 15.06	+ 16.74	+ 15.55	7/12/2018	Annual Adjustment

3.2.5 Regulatory remuneration base

The performance of the net remuneration bases (BRL) of Energisa Group's distribution companies and the dates of the Rate Reviews (RT) are as follows:

Distribution company	Net Remuneration Base (BRL) (In R$ million)		Rate review date		
	Cycle 3	Cycle 4	Cycle 3	Cycle 4	Cycle 5
ESS	320.3	491.5	May/12	May/16	Jul/21
EMG	218.3	308.0	Jun/12	Jun/16	Jun/21
ENF	69.2	95.0	Jun/12	Jun/16	Jun/21
ETO	257.1	596.2	Jul/12	Jul/16	Jul/20
EBO	67.0	117.7	Feb/13	Feb/17	Feb/21
EPB	827.3	1,318.4	Aug/13	Aug/17	Aug/21
ESE	497.6	797.3	Apr/13	Apr/18	Apr/23
EMT	1,693.5	3,459.8	Apr/13	Apr/18	Apr/23
EMS	1,152.6	1,864.5	Apr/13	Apr/18	Apr/23
Total	**5,102.9**	**9,048.4**			
WACC (before tax)	**11.36%**	**12.26%**			

3.2.6 B Portion

The rate review and adjustment processes taking place in 2017 and 2018 resulted in an increase in Portion B of 16.0% over the previous date (D-1) in the rate review applied, reaching R$ 4,504.2 million. The growth in the B Portion at the companies entering 4CRTP was primarily influenced by the intensification and rate recognition of the investments made.

Distribution company	B Portion				
	DRA [1]	DRP [2]	Change (R$ million)	Change %	Review Process
EMG	219.7	223.1	3.4	+ 1.5	Annual Adjustment
ENF	45.9	47.2	1.3	+ 2.8	Annual Adjustment
ESE	371.9	394.4	22.5	+ 6.1	4CRTP
EBO	75.9	74.8	- 1.1	- 1.4	Annual Adjustment
EPB	638.4	682.6	44.2	+ 6.9	Annual Adjustment
EMT	1,012.3	1,374.5	362.2	+ 35.8	4CRTP
EMS	667.6	826.8	159.2	+ 23.8	4CRTP
ETO	470.2	497.3	27.1	+ 5.8	Annual Adjustment
ESS	379.8	383.5	3.7	+ 1.0	Annual Adjustment
Total	**3,881.7**	**4,504.2**	**622.5**	**+ 16.0**	**-**

(1) DRA - Previous Reference Date: defined as the date the last rate process ratified by Aneel is effective from, be it an adjustment or rate review, which includes the costs incurred and revenue earned in the twelve months relating to the rate process.
(2) DRP - Processing Reference Date: the DRP is defined as the date the rate process under analysis to be ratified by Aneel is effective from, be it an adjustment or rate review, which includes the costs and revenue projected for the twelve months relating to the rate process.

3.2.7 Rate subsidy, low income and CCC sub-rogation credits

Aneel also authorized the pass-through of R$ 299.9 million in 3Q18 (R$ 821.8 million in 9M18) compared with R$ 243.3 million in 3Q17 (R$ 692.3 million in 9M17), consisting of rate subsidies awarded to low-income consumers, rural irrigation consumers and public services, by way of the Energy Development Account (CDE), in accordance with Decree 7891 in 2013. These funds, in turn, were recorded as operating revenue. The amounts per distribution company are the following:

Funds - Decree 7891 and Low Income (R$ million)	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
EMG	20.4	20.0	+ 2.0	57.6	55.8	+ 3.2
ENF	1.0	1.0	-	3.2	3.1	+ 3.2
ESE	21.4	18.4	+ 16.3	67.7	59.1	+ 14.6
EBO	5.6	3.9	+ 43.6	14.1	11.9	+ 18.5
EPB	43.9	33.5	+ 31.0	125.3	97.8	+ 28.1
EMT	95.5	79.1	+ 20.7	247.7	205.5	+ 20.5
EMS	51.6	38.2	+ 35.1	143.6	124.2	+ 15.6
ETO	29.5	24.2	+ 21.9	76.1	64.4	+ 18.2
ESS	31.0	25.0	+ 24.0	86.5	70.5	+ 22.7
Total	**299.9**	**243.3**	**+ 23.3**	**821.8**	**692.3**	**+ 18.7**

In addition to this balance, Energisa Group holds CCC subrogation credits (Fossil Fuel Consumption Account) of R$ 26.0 million, due to the implementation of electricity ventures that led to a decrease in the CCC expense.

3.3 Operating costs and expenses

Consolidated operating expenses and costs excluding construction costs amounted to R$ 3,257.3 million in 3Q18, an increase of 5.2% (R$ 161.9 million) over the same period of 2017. In 9M18 they amounted to R$ 9,278.1 million, i.e. 15.9% (R$ 1,273.2 million) more than in 9M17.

Consolidated operating costs and expenses break down as follows:

Breakdown of operating expenses and costs Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
1 Unmanageable costs and expenses	**2,490.6**	**2,394.5**	**+ 4.0**	**7,038.0**	**5,889.0**	**+ 19.5**
1.1 Energy purchased	2,237.0	2,194.4	+ 1.9	6,248.2	5,443.6	+ 14.8
1.2 Transmission of electricity	253.6	200.1	+ 26.7	789.8	445.4	+ 77.3
2 - Manageable costs and expenses	**536.2**	**486.2**	**+ 10.3**	**1,535.0**	**1,515.1**	**+ 1.3**
2.1 PMSO	**528.3**	**462.3**	**+ 14.3**	**1,506.2**	**1,387.9**	**+ 8.5**
2.2 Provisions/Reversals	7.9	23.9	- 66.9	28.8	127.2	- 77.4
2.2.1 Contingencies	(32.3)	(1.7)	+ 1,800.0	(66.9)	37.6	-
2.2.2 Doubtful accounts	40.2	25.6	+ 57.0	95.7	89.6	+ 6.8
3 Other revenue/expenses	**230.5**	**214.7**	**+ 7.4**	**705.1**	**600.8**	**+ 17.4**
3.1 Depreciation and amortization	202.4	213.4	- 5.2	619.2	587.3	+ 5.4
3.2 Other revenue/expenses	28.1	1.3	+ 2,061.5	85.9	13.5	+ 536.3
Total Operating Costs and Expenses (1+2+3, without construction costs)	**3,257.3**	**3,095.4**	**+ 5.2**	**9,278.1**	**8,004.9**	**+ 15.9**
Construction cost	351.3	375.9	- 6.5	991.4	1,048.9	- 5.5
Total Operating Costs and Expenses (1+2+3, without construction costs)	**3,608.6**	**3,471.3**	**+ 4.0**	**10,269.5**	**9,053.8**	**+ 13.4**

Note: Operating costs and expenses by distribution company can be seen in Appendix I.

3.3.1 Unmanageable operating costs and expenses

Unmanageable costs and expenses (A portion) rose by 4.0% (R$ 96.1 million in 3Q18 on 3Q17, to R$ 2,490.6 million. In 9M18 they amounted to R$ 7,038.0 million, an increase of 19.5% (R$ 1,149.0 million) more than in 9M17.

✓ **Costs of Energy Purchased for Resale**

Costs of energy purchased for resale in 3Q18 rose by 1.9% or R$ 42.6 million, compared with 3Q17, amounting to R$ 2,237.0 million. In 9M18 they amounted to R$ 6,248.2 million, an increase of 14.8% (R$ 804.6 million) more than in 9M17.

✓ **Charges for Using the Transmission System**

In 3Q18, the charges for using the transmission system amounted to R$ 253.6 million, an increase of 26.7% (R$ 53.5 million). In 9M18 these charges amounted to R$ 789.8 million, an increase of 77.3% (R$ 344.4 million) more than in 9M17.

3.3.2 Manageable operating costs and expenses

Manageable costs and expenses in 3Q18 amounted to R$ 536.2 million, an increase of 10.3% (R$ 50.0 million) over 3Q17. In 9M18 these operating costs and expenses amounted to R$ 1,535.0 million, an increase of 1.3% (R$ 19.9 million) on 9M17.

✓ **PMSO (Personnel, Materials, Services and Other)**

PMSO expenses amounted to R$ 528.3 million in 3Q18, compared with R$ 462.3 million in 3Q17, an increase of 14.3% (R$ 66.0 million). These expenses amounted to R$ 1,506.2 million in 9M18, an increase of 8.5% (R$ 118.3 million).

Consolidated PMSO Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
Personnel	247.0	230.2	+ 7.3	739.2	666.5	+ 10.9
✓ Rescission costs	5.2	8.1	- 35.8	17.6	22.7	- 22.5
Post-employment benefits	22.9	19.0	+ 20.5	56.3	57.1	- 1.4
Material	39.0	33.1	+ 17.8	114.0	98.9	+ 15.3
Outsourced services	157.7	141.3	+ 11.6	454.0	436.4	+ 4.0
Other	61.7	38.7	+ 59.4	142.7	129.0	+ 10.6
✓ Fines and compensation	2.6	7.0	- 62.9	11.4	35.8	- 68.2
✓ Contingencies (settlement of civil claims)	17.4	10.8	+ 61.1	44.8	39.5	+ 13.4
✓ Other	41.7	20.9	+ 99.5	86.5	53.7	+ 61.1
Total consolidated PMSO	**528.3**	**462.3**	**+ 14.3**	**1,506.2**	**1,387.9**	**+ 8.5**
IPCA / IBGE (last 12 months ended September 2018)				**4.53%**		
IGPM / FGV (last 12 months ended September 2018)				**10.05%**		

The main changes in PMSO expenses are detailed below:

✓ **Personnel and Post-employment Benefit Expenses**

In 3Q18, personnel and retirement benefit expenses amounted to R$ 269.9 million, 8.3% (R$ 20.7 million) more than in 3Q17, deriving from the:

(i) Increase of R$ 16.8 million in personnel expenses, from which we highlight:

- R$ 9.6 million refer to labor claim payments, especially at EMS (+R$ 14.2 million) and ESE (+R$ 3.2 million), which had been provisioned for in previous periods and is offset in the reversal of contingencies account.
- R$ 9.3 million reflect wage readjustments and increase in personnel at EMT (+ R$ 3.3 million);
- Reduction of R$ 2.9 million in Rescission costs.

(ii) Increase of R$ 3.9 million in post-employment benefits expense, explained by a provision for post-employment benefits of R$ 3.3 million, including R$ 1.1 million at EMS, R$ 1.4 million at EPB, R$ 0.3 million at EBO and R$ 0.4 million at ENF.

In 9M18, personnel and retirement benefit expenses amounted to R$ 795.5 million, 9.9% (R$ 71.9 million) more than in 9M17. In addition to the reasons above, the increase is due to growth of R$ 46.0 million in personnel expenses in 2Q18 largely due to wage increases (+R$ 19.6 million) and labor damages awards (+R$ 14.6 million), which are charged against the relevant provisions.

✓ **Expenses on Materials and Outsourced Services**

Expenses on materials and outsourced services amounted to R$ 196.7 million in 3Q18, an increase of 12.8% (R$ 22.3 million) over 3Q17, due to:

(i) Growth of R$ 16.4 million in third-party services expense, mainly due to:
- Increase of R$ 22.3 million in EMT especially in view of the provision of R$ 17.1 million for success fees related to a tax recovery proceeding;
- Rise of R$ 7.5 million at ESA given the higher use of consulting companies for M&A processes and due diligence for potential transactions;
- Reduction of R$ 15.8 million at ESOL explained by the reduction of contracts and reclassification to the materials account, offsetting the previously mentioned effects.

(ii) Increase of R$ 5.9 million in **materials** expenses due to the increase of: R$ 5.6 million in ESOL as a result of a reclassification of R$ 5 million from the services line item.

Expenses on materials and outsourced services amounted to R$ 568.0 million in 9M18, an increase of 6.1% (R$ 32.7 million) over 9M17. This increase is concentrated in 3Q18, due to the aforesaid reasons.

✓ **Other Expenses**

Operating expenses amounted to R$ 61.7 million in 3Q18, an increase of 59.4% (or R$ 23.0 million) over 3Q17, due to:

(i) The decrease of R$ 4.4 million in fines and compensation, given the change in the accounting practice for classifying fines (DIC, FIC and DMIC) by the concession authority, which from 2018 began to be recorded as a deduction from revenue and which in 2017 were classified as operating expenses.
(ii) The increase of R$ 6.6 million in settlement of civil claims, primarily due to higher compensation payments by EMT and EMS.
(iii) An increase of R$ 20.8 under others in connection to the provision of judicial bonds for lawsuits that had already been concluded, including R$ 9,8 million at EMS and R$ 4.0 million at EPB.

In 9M18, other expenses amounted to R$ 142.7 million, an increase of 10.6% (R$ 13.7 million) on 9M17, where this effect is concentrated in 3Q18 for the aforesaid reasons.

See below PMSO expenses by company:

PMSO expenses of distribution companies Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
Distribution	**540.8**	**467.3**	**+ 15.7**	**1,517.7**	**1,375.1**	**+ 10.4**
EMG	27.7	28.9	- 4.2	81.9	87.1	- 6.0
ENF	5.4	5.3	+ 1.9	16.5	18.2	- 9.3
ESE	44.8	43.7	+ 2.5	132.7	127.0	+ 4.5
EBO	12.6	11.1	+ 13.5	29.2	27.4	+ 6.6
EPB	69.1	67.1	+ 3.0	193.6	199.8	- 3.1
EMT	149.8	118.5	+ 26.4	403.8	341.8	+ 18.1
EMS	119.4	82.3	+ 45.1	329.8	259.4	+ 27.1
ETO	63.6	62.4	+ 1.9	186.2	171.4	+ 8.6
ESS	48.4	48.0	+ 0.8	144.0	143.0	+ 0.7
Trading, Services and Others	**84.8**	**83.7**	**+ 1.3**	**254.4**	**222.9**	**+ 14.1**
ESA Parent Company	36.5	26.0	+ 40.4	107.1	65.0	+ 64.8
ECOM	1.8	1.5	+ 20.0	5.1	4.8	+ 6.3
ESOL Consolidated	40.5	48.2	- 16.0	114.0	127.0	- 10.2
Multi Energisa	5.6	5.6	-	16.8	20.5	- 18.0
Others	**0.4**	**2.4**	**- 83.3**	**11.4**	**5.6**	**+ 103.6**
Intercompany Eliminations	**(97.3)**	**(88.7)**	**+ 9.7**	**(265.9)**	**(210.1)**	**+ 26.6**
Energisa	**528.3**	**462.3**	**+ 14.3**	**1,506.2**	**1,387.9**	**+ 8.5**

3.3.3 Operating expenses (provisions, reversals and other income and expenses)

The group other operating expenses amounted to R$ 36.0 million in 3Q18, 42.9% (R$ 10.8 million) less than in 3Q17, primarily due to:

(i) Reversal of **contingencies**, net of provisions, in the amount of R$ 32.3 million, especially at EMS (R$ 12.6 million) and EMT (R$ 13.6 million).
(ii) An increase of R$ 14.6 million in **provision for doubtful accounts**, largely at EMS (+R$ 13.2 million) in connection with outstanding receivables from a customer in the public healthcare sector (in the amount of R$ 9.4 million); and
(iii) Increase of R$ 26.8 million in other **expenses/revenue,** due to asset retirement, especially at EMT, EMS and ESE.

In 9M18 the other operating expenses amounted to R$ 114.7 million, 18.5% (R$ 26.0 million) less than in 9M17, mainly due to reversal of contingencies in the period.

Other expenses Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
Provisions/Reversals	**7.9**	**23.9**	**- 66.9**	**28.8**	**127.2**	**- 77.4**
Contingency	(32.3)	(1.7)	+ 1,800.0	(66.9)	37.6	-
Doubtful accounts	40.2	25.6	+ 57.0	95.7	89.6	+ 6.8
Other revenue/expenses	**28.1**	**1.3**	**+ 2,061.5**	**85.9**	**13.5**	**+ 536.3**
Total other expenses	**36.0**	**25.2**	**+ 42.9**	**114.7**	**140.7**	**- 18.5**

3.4 EBITDA

In 3Q18, the Adjusted EBITDA amounted to R$ 764.1 million, 47.5% (R$ 246.2 million) more than in 3Q17.

If interest on energy bills is disregarded, the EBITDA amounts to R$ 695.8 million in 3Q18, an increase of 49.4% (R$ 230.0 million) influenced by the following nonrecurrent effects:

(i) Rescission costs of R$ 5.2 million in 3Q18 and R$ 8.1 million in 3Q17;

(ii) VNR Financial Restatement, with R$ 37.3 million in 3Q18 and R$ 10.7 million in 3Q17.

(iii) A provision of R$ 17.1 million in 3Q18 for success fees in tax recovery proceedings at EMT.

If the extraordinary effects mentioned above were excluded, the EBITDA in 3Q18 would be R$ 680.8 million, 47.0% more than in 3Q17. The increase is largely due to a R$ 319.5 million improvement in “Component B” revenue for distribution companies as a result of rate-setting reviews, including EMT (+ R$ 142.5 million), EPB (+ R$ 50.0 million), ESS (+ R$ 29.8 million), ETO (+ R$ 20.4 million) and ESE (+ R$ 19.7 million).

Of Energisa Group’s distribution companies, only EMS reported lower EBITDA in 3Q18 reflecting higher operating expenses (especially Provision for Doubtful Accounts and Others), despite a R$ 40.1 million increase in Component B revenue.

In 9M18, the Adjusted EBITDA amounted to R$ 2,200.3 million, 40.5% (R$ 634.1 million) more than in 9M17.

If interest on energy bills is disregarded, the EBITDA amounts to R$ 2,010.4 million in 9M18, an increase of 43.2% (R$ 606.8 million) influenced by the following nonrecurrent effects:

(i) Rescission costs of R$ 17.6 million in 9M18 and R$ 22.7 million in 9M17;

(ii) Recording of CVA at EMT (revenue of R$ 55.4 million) and EMS (cost of R$ 10.6 million), amounting to R$ 44.8 million, due to the re-recording of CVA amounts determined during the rate review process of the distribution companies in 1Q18;

(iii) VNR financial restatement, with R$ 32.1 million recorded in 9M17 and R$ 276.1 million in 9M18, the latter influenced by adjustments to Management’s fair value estimates of the assets and compensation base ratified by Aneel in April 2018 for EMT, EMS and ESE.

(iv) A provision of R$ 17.1 million in 3Q18 at EMT.

If the nonrecurrent effects mentioned above were excluded, the EBITDA in 9M18 would be R$ 1,724.2 million, 26.0% more than in 9M17.

Description Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
(=) EBITDA	**695.8**	**465.8**	**+ 49.4**	**2,010.4**	**1,403.6**	**+ 43.2**
(+) Rescission costs	5.2	8.1	- 35.8	17.6	22.7	- 22.5
(+) Overcontracting (2016 and 2017)	-	-	-	-	-4.3	-
(-) Re-recording of CVA (EMT, EMS and ESE)	-	-	-	44.8	-	-
(-) VNR Financial Restatement	37.3	10.7	+ 248.6	276.1	32.1	+ 760.1
(-) Sale of aircraft (EMT)	-	-	-	-	21.9	-
(+) Provision for success fees (EMT)	17.1	-	-	17.1	-	-
(=) EBITDA (without noncurrent effects)	**680.8**	**463.2**	**+ 47.0**	**1,724.2**	**1,368.0**	**+ 26.0**

The EBITDA and adjusted EBITDA by subsidiary are as follows:

EBITDA (*) Amounts in R$ million	EBITDA			Adjusted EBITDA		
	3Q18	3Q17	Change %	3Q18	3Q17	Change %
Electricity distribution	**663.6**	**425.8**	**+ 55.8**	**732.2**	**477.9**	**+ 53.2**
EMG	30.5	21.9	+ 39.3	33.7	24.3	+ 38.7
ENF	8.5	4.9	+ 73.5	9.3	5.5	+ 69.1
ESE	55.6	45.8	+ 21.4	61.8	50.3	+ 22.9
EBO	11.8	9.1	+ 29.7	13.3	10.1	+ 31.7
EPB	88.1	38.4	+ 129.4	99.6	47.2	+ 111.0
EMT	254.2	138.2	+ 83.9	275.8	154.1	+ 79.0
EMS	66.4	70.5	- 5.8	77.9	79.6	- 2.1
ETO	78.2	57.1	+ 37.0	85.1	62.5	+ 36.2
ESS	70.3	39.9	+ 76.2	75.7	44.3	+ 70.9
Sales, energy services and other	**32.0**	**38.8**	**- 17.5**	**31.7**	**38.8**	**- 18.3**
ESA Parent company	9.9	16.9	- 41.4	9.9	16.9	- 41.4
Rede parent company	(0.1)	(1.6)	- 93.8	(0.1)	(1.6)	- 93.8
ECOM	14.8	14.4	+ 2.8	14.8	14.4	+ 2.8
ESO Consolidated	2.7	4.5	- 40.0	2.7	4.5	- 40.0
Multi Energisa	3.0	2.2	+ 36.4	3.0	2.2	+ 36.4
EGO I	0.7	(0.1)	-	0.7	(0.1)	-
EPA I	0.9	(0.1)	-	0.9	(0.1)	-
Other	0.1	2.6	- 96.2	(0.2)	2.6	-
Business combination - Pro forma adjustments”[1]	**0.2**	**1.2**	**- 83.3**	**0.2**	**1.2**	**- 83.3**
Energisa - Consolidated	**695.8**	**465.8**	**+ 49.4**	**764.1**	**517.9**	**+ 47.5**
EBITDA Margin (%)	17.0	12.5	+ 4.5 p.p	18.6	13.9	+ 4.7 p.p

Note: EBITDA is the sum of net income, taxes, finance income and depreciation/amortization, as per CVM Directive 527/12 (see the Appendix for the reconciliation).
(*) ESS' EBITDAs denote the sum of the EBITDAs of the five electricity distribution companies (Caiuá, CNEE, EDEVP, CFLO and EEB), and does not therefore constitute effective income from the new company incorporated on June 30, 2017.

EBITDA (*) Amounts in R$ million	EBITDA			Adjusted EBITDA		
	9M18	9M17	Change %	9M18	9M17	Change %
Electricity distribution	**1,969.8**	**1,345.9**	**+ 46.4**	**2,159.6**	**1,508.6**	**+ 43.2**
EMG	84.1	67.3	+ 25.0	92.9	75.6	+ 22.9
ENF	20.4	9.4	+ 117.0	22.3	11.1	+ 100.9
ESE	157.4	148.4	+ 6.1	173.2	162.1	+ 6.8
EBO	33.0	33.4	- 1.2	36.5	36.3	+ 0.6
EPB	293.3	204.0	+ 43.8	323.7	228.7	+ 41.5
EMT	729.2	396.6	+ 83.9	789.7	444.1	+ 77.8
EMS	293.4	199.0	+ 47.4	328.4	229.6	+ 43.0
ETO	185.0	148.0	+ 25.0	203.3	167.6	+ 21.3
ESS	174.0	139.8	+ 24.5	189.6	153.5	+ 23.5
Sales, energy services and other	**37.3**	**64.3**	**- 42.0**	**37.4**	**64.3**	**- 41.8**
ESA Parent company	16.2	24.7	- 34.4	16.2	24.7	- 34.4
Rede parent company	(7.1)	(2.7)	+ 163.0	(7.1)	(1.6)	+ 343.8
ECOM	15.8	22.3	- 29.1	15.8	22.3	- 29.1
ESO Consolidated	1.5	8.3	- 81.9	1.5	8.3	- 81.9
Multi Energisa	5.9	7.3	- 19.2	5.9	7.3	- 19.2
EGO I	1.4	(0.1)	-	1.4	(0.1)	-
EPA I	3.2	(0.1)	-	3.2	(0.1)	-
Other	0.4	4.6	- 91.3	0.5	3.5	- 85.7
Business combination - Pro forma” adjustments[1]	**3.3**	**(6.6)**	**-**	**3.3**	**(6.7)**	**-**
Energisa - Consolidated	**2,010.4**	**1,403.6**	**+ 43.2**	**2,200.3**	**1,566.2**	**+ 40.5**
EBITDA Margin (%)	17.2	14.2	+ 3.0 p.p	18.9	15.9	+ 3.0 p.p

(*) EBITDA is the sum of net income, taxes, finance income and depreciation/amortization, as per CVM Directive 527/12. See reconciliation in Appendix A.6. | Adjusted EBITDA = EBITDA + Interest on energy bills revenue

[1] Equity interests acquired are valued at fair value of the assets and liabilities held by the entities subject to the transaction and differences from the amount paid are classified as: (i) intangible assets (goodwill) when the amount paid exceeds the fair value of the assets and liabilities; (ii) net income for the year (favorable acquisition) when the amount paid is lower than the fair value of the assets and liabilities. The goodwill referring to entities subject to an economic exploration arrangement and/or concession for a fixed term are amortized over the exploration term.

3.5 Financial income

In 3Q18 the net financial income reflected net financial expenses of R$ 164.4 million, compared with net financial expenses of R$ 80.3 million in 3Q17, an increase of 104.7% (or R$ 84.1 million). The financial result in 9M18 consisted of net financial expenses of R$ 645.1 million, compared with R$ 373.3 million in 9M17, an increase of 72.8% (R$ 271.8 million).

Consolidated Finance Income Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
Finance revenue	**150.7**	**152.6**	**- 1.2**	**366.6**	**448.4**	**- 18.2**
Revenue on short-term investments	43.8	56.4	- 22.3	112.0	193.7	- 42.2
Interest on overdue energy bills	68.3	52.1	+ 31.1	189.9	162.6	+ 16.8
Financial restatement of regulatory assets (CVA)	10.8	7.2	+ 50.0	29.8	22.1	+ 34.8
Restatement of recoverable tax credits	6.2	11.2	- 44.6	8.7	23.3	- 64.8
Monetary restatement of judicial bonds	2.2	-	-	6.6	5.2	+ 26.9
Adjustment to present value	-	6.0	-	-	21.4	-
(-) Pis/Cofins on finance income	(9.3)	(8.9)	+ 4.5	(25.4)	(28.6)	- 11.2
Other financial revenue	28.7	28.6	+ 0.3	45.0	48.7	- 6.6
Finance costs	**(315.1)**	**(232.9)**	**+ 35.3**	**(1,011.7)**	**(821.7)**	**+ 23.1**
Debt charges - interest	(181.7)	(149.0)	+ 21.9	(509.5)	(451.7)	+ 12.8
Debt charges - monetary and exchange variance	(133.5)	59.8	-	(561.3)	(60.3)	+ 830.8
Derivative financial instruments	91.1	(123.3)	-	428.0	(174.1)	-
Adjustment to present value	0.4	-	-	3.9	-	-
Mark-to-market of derivatives	8.8	24.8	- 64.5	(164.4)	27.0	-
Mark-to-market of debt	(8.4)	2.6	-	42.1	(5.0)	-
Financial restatement of regulatory liabilities	(5.9)	(6.3)	- 6.3	(42.1)	(37.0)	+ 13.8
Monetary restatement of R&D and energy efficiency	(3.0)	(5.0)	- 40.0	(2.8)	(15.9)	- 82.4
(-) Transfer of capitalized interest to orders in progress	1.4	0.5	+ 180.0	(6.5)	2.9	-
Bank expenses	(4.1)	(3.4)	+ 20.6	(9.5)	(11.1)	- 14.4
Incorporation of Grids	(12.0)	25.6		(61.2)	25.6	-
Endorsement expense	(2.9)	(3.1)	- 6.5	(8.7)	(8.7)	-
Restatement of contingencies	(7.2)	(1.0)	+ 620.0	(13.6)	(8.1)	+ 67.9
Other financial expenses	(58.1)	(55.1)	+ 5.4	(106.1)	(105.3)	+ 0.8
Financial income	**(164.4)**	**(80.3)**	**+ 104.7**	**(645.1)**	**(373.3)**	**+ 72.8**

In 3Q18 financial revenue decreased by R$ 1.9 million, primarily due to the decrease of R$ 12.6 million in yields on short-term investments and the lower CDI rate between the periods, the main index underlying Energisa Group's equivalents. This was offset by a R$ 16.2 million increase in interest on overdue bills. Finance income in 9M18 was R$ 81.8 million lower than in 9M17.

Finance costs, in turn, rose by R$ 82.2 million in 3Q18, influenced by the following factors:

(i) An increase of R$ 11.6 million in interest payments despite the lower CDI rate in the period, reflecting higher gross debt; and
(ii) Increase of R$ 37.6 million in grid incorporation expenses, with R$ 40.8 million at EMT.

Finance costs were R$ 190.0 million higher in 9M18 than in 9M17, due to the following factors:

(i) Decrease in CDI/Selic between the periods;
(ii) Increase of R$ 191.4 million in mark-to-market of derivatives, of which R$ 107.4 million consists of the recording of the subscription bonus convertibility option underlying the 7th issuance of Energisa S.A. (Series 1, 2 and 3) occurring in 1Q18, there being no cash effect for the company;
(iii) Increase of R$ 86.8 million in grid incorporation expenses, with R$ 88.7 million at EMT.

3.6 Net Income

Consolidated net income was R$ 259.4 million in 3Q18, against R$ 134.1 million in 3Q17, an increase of 93.4% (R$ 125.3 million).

Consolidated net income was R$ 505.1 million in 9M18, against R$ 340.0 million in 9M17, an increase of 48.6% (R$ 165.1 million). In addition to the effects on EBITDA, the consolidated net income was influenced by the recording of the subscription bonuses underlying the 7th issuance of Energisa S.A. in financial income for 1Q18

If the extraordinary effects mentioned above were excluded, the net income in 3Q18 would be R$ 277.7 million, 98.8% more than in 3Q17. If the extraordinary effects were excluded, in 9M18 the net income would be R$ 507.4 million, 51.2% more than in 9M17.

See below nonrecurrent effects net of tax:

Description (R$ million)	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
(=) Consolidated Net Income	**259.4**	**134.1**	**+ 93.4**	**505.1**	**340.0**	**+ 48.6**
(+) Rescission costs	3.9	6.2	- 37.7	13.0	17.2	- 24.6
(+) Overcontracting (2016 and 2017)	-	-	-	-	-3.3	-
(+) Mark-to-market of 7th issuance debentures	-	-	-	107.4	-	-
(-) Re-recording of CVA (EMT and EMS)	-	-	-	40.0	-	-
(-) Reversal of the provision for VNR Financial Restatement (EMT, EMS and ESE)	-	-	-	92.5	-	-
(-) Sale of aircraft (EMT)	-	-	-	-	18.3	-
(+) Provision for success fees (EMT)	14.5	-	-	14.5	-	-
(=) Consolidated Net Income (without nonrecurrent effects)	**277.7**	**140.3**	**+ 98.8**	**507.4**	**335.6**	**+ 51.2**

See below the consolidated net income of Energisa and its subsidiaries by segment:

Net Income Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
Electricity distribution	**352.6**	**159.9**	**+ 120.5**	**901.4**	**519.9**	**+ 73.4**
EMG	12.4	6.7	+ 85.1	27.6	20.1	+ 37.3
ENF	3.9	(0.1)	-	7.4	(1.3)	-
ESE	19.8	12.2	+ 62.3	56.8	52.4	+ 8.4
EBO	10.7	5.3	+ 101.9	23.8	22.0	+ 8.2
EPB	58.8	14.9	+ 294.6	190.2	109.2	+ 74.2
EMT	140.2	48.0	+ 192.1	320.0	135.3	+ 136.5
EMS	25.5	22.1	+ 15.4	115.5	54.7	+ 111.2
ETO	43.6	31.6	+ 38.0	73.5	62.4	+ 17.8
ESS	37.7	19.2	+ 96.4	86.6	65.1	+ 33.0
Sales, services, transmission and other	**10.1**	**11.9**	**- 15.1**	**4.2**	**17.6**	**- 76.1**
ECOM	8.4	9.4	- 10.6	7.9	14.1	- 44.0
ESO Consolidated	(0.4)	1.1	-	(6.0)	(0.1)	+ 5,900.0
Multi Energisa	1.9	1.1	+ 72.7	3.2	3.1	+ 3.2
EGO I	0.6	(0.2)	-	0.9	(0.2)	-
EPA I	0.6	(0.3)	-	2.0	(0.3)	-
Other (*)	(1.0)	0.8	-	(3.8)	1.0	-
Holding companies (without equity income)	**(66.2)**	**14.0**	**-**	**(279.8)**	**(61.3)**	**+ 356.4**
Energisa - Parent Company	(53.3)	43.2	-	(226.0)	26.7	-
Rede Energia parent company	(2.7)	(15.4)	- 82.5	(24.3)	(46.8)	- 48.1
Denerge	(9.6)	(11.7)	- 17.9	(28.7)	(38.8)	- 26.0
Other holding companies	(0.6)	(2.1)	- 71.4	(0.8)	(2.4)	- 66.7
Business combination - Pro forma adjustments	**(37.1)**	**(51.7)**	**- 28.2**	**(120.7)**	**(136.2)**	**- 11.4**
Energisa - Consolidated	**259.4**	**134.1**	**+ 93.4**	**505.1**	**340.0**	**+ 48.6**

(*) Results of Companhia Técnica de Comercialização de Energia, Energisa Planejamento e Corretagem de Seguros Ltda., Energisa Geração de Energia S/A, Parque Eólico Sobradinho Ltda., Energisa Geração - Usina Maurício S/A, Energisa Geração Central Solar Coremas S/A, Energisa Geração Central Eólica Boa Esperança S/A, Energisa Geração Central Eólica Mandacaru S/A, Energisa Geração Central Eólica Alecrim S/A, Energisa Geração Central Eólica Umbuzeiro-Muquim S/A, Energisa Serviços Aéreos de Aeroinspeção S/A and Dinâmica Direitos Creditórios LTDA.

4 Capital structure

4.1 Financial operations in 9M18

Energisa Group took out financing of R$ 3,979 million in the first nine month of 2018, at an average cost of 124.5% of the CDI rate and an average term of 2.8 years.

Company	Issue type	Total amount (R$ millions)	Average Cost (% per annum)	Average Term (years)
EMT, EPB, ESE, ETO, ENF, ESS, EMG, EMS , ESA and ECOM	Law 4,131	2,179	127.3 CDI	2.8
ETO	Promissory Notes ICVM 476	300	110.0 CDI	1.5
ESA, EPB, EMS and EMT	ICVM 476 Debentures	1,500	123.4 CDI	3.0
Total		**3,979**	**124.5 CDI**	**2.8**

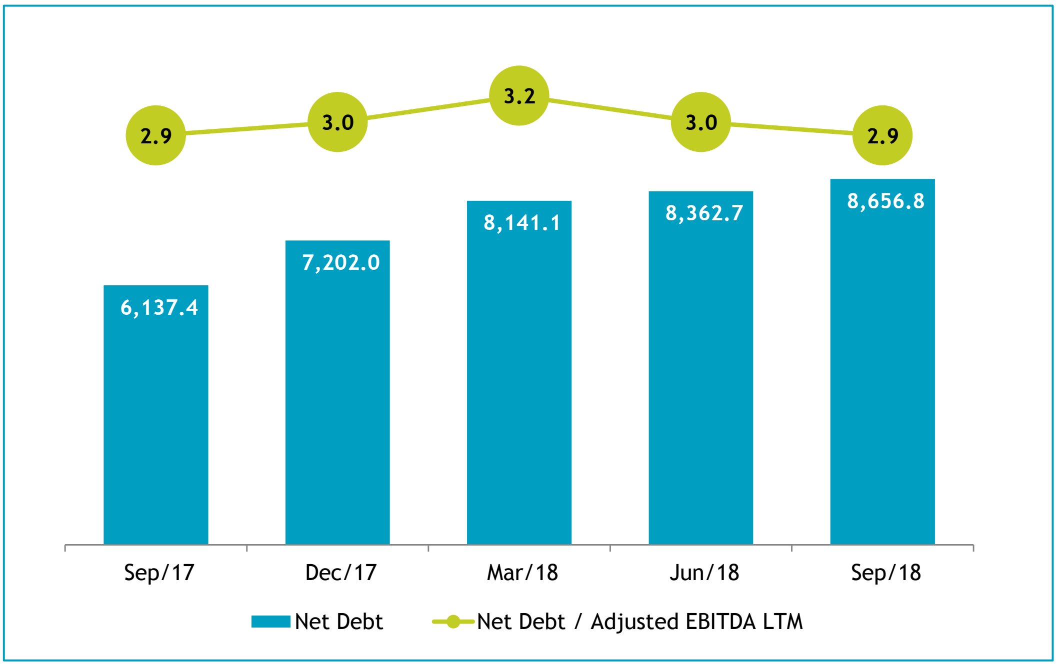
4.1 Cash and debt

The consolidated position of cash, cash equivalents and short-term investments amounted to R$ 3,654.7 million at the end of September 2018, against R$ 3,774.8 million in June 2018. We emphasize that these balances include credits relating to the Energy Development Account (CDE), Fossil Fuel Consumption Account (CCC) and the memorandum account for amounts of the A portion (CVA), in the amount of R$ 856.0 million as of September 30, 2018 and R$ 611.3 million as of June 2018).

The net debt as of September 30, 2018 less sector credits amounted to R$ 8,656.8 million, compared with R$ 8,362.7 million in June 2018. As a result, the ratio between consolidated net debt and adjusted EBITDA fell from 3.0 in June 2018 to 2.9 in September 2018.

Consolidated Leverage

- Net Debt (R$ million) and net debt / Adjusted EBITDA 12 months (times) -



See below the short- and long-term debt net of financial resources (cash, cash equivalents, short-term investments and sector credits):

Description Amounts in R$ million	Parent company			Consolidated		
	9/30/2018	6/30/2018	12/31/2017	9/30/2018	6/30/2018	12/31/2017
Current	**658.0**	**674.7**	**333.9**	**2,946.5**	**2,664.1**	**2,207.8**
Loans and financing	158.1	152.2	82.9	1,504.6	1,173.8	1,609.5
Debentures	494.4	515.3	241.9	510.5	549.8	326.1
Debt charges	8.1	2.3	0.6	113.5	108.0	64.0
Tax financing and post-employment benefits	1.2	1.2	1.2	65.1	65.0	56.7
Regulatory fees	-	-	-	53.9	58.6	58.6
Financing of debits for energy purchased from Itaipu	-	-	-	107.3	117.0	117.0
Derivative financial instruments, net	(3.8)	3.7	7.3	591.6	591.9	(24.1)
✓ Law 4131 (Swap and MTM)	(3.8)	3.7	7.3	(0.1)	12.1	(24.1)
✓ Put option (EEVP put)	-	-	-	591.7	579.8	-
✓ MTM 7th debentures issuance	-	-	-	-	-	-
Noncurrent	**3,423.5**	**3,572.8**	**2,680.6**	**9,365.0**	**9,473.4**	**8,165.8**
Loans, financing and leasing	316.2	304.5	-	4,994.4	4,852.4	3,924.4
Debentures	2,874.9	3,025.6	2,525.6	4,017.4	4,167.1	3,030.5
Tax financing and post-employment benefits	4.6	3.7	3.1	501.3	487.3	476.2
Regulatory fees	-	-	-	-	9.6	38.3
Financing of debits for energy purchased from Itaipu	-	-	-	-	19.5	78.0
Derivative financial instruments, net	227.8	239.0	151.9	(148.1)	(62.5)	618.4
✓ Law 4131 (Swap and MTM)	(29.6)	(18.4)	1.9	(405.5)	(319.9)	(88.1)
✓ Put option (EEVP put)	-		-	-	-	556.5
✓ MTM 7th debentures issuance	257.4	257.4	150.0	257.4	257.4	150.0
Total debts	**4,081.5**	**4,247.5**	**3,014.5**	**12,311.5**	**12,137.5**	**10,373.6**
(-) Cash and cash equivalents	2,749.2	2,784.4	2,045.3	2,798.6	3,163.5	2,818.3
Total net debts	**1,332.3**	**1,463.1**	**969.2**	**9,512.9**	**8,974.0**	**7,555.3**
(-) CDE Credits	-	-	-	203.3	185.4	237.9
(-) CCC Credits	-	-	-	26.0	27.6	30.4
(-) CVA Credits	-	-	-	626.8	398.3	85.0
Total net debts less sector credits	**1,332.3**	**1,463.1**	**969.2**	**8,656.8**	**8,362.7**	**7,202.0**
Relative Indicator						
Net debt / Adjusted EBITDA 12 months (1)	-	-	-	2.9	3.0	3.0

(1) Adjusted EBITDA = EBITDA + Interest on energy bills revenue (last 12 months).
Scores: MTM = Mark-to-market |Each distribution company's debt can be seen in Appendix I.

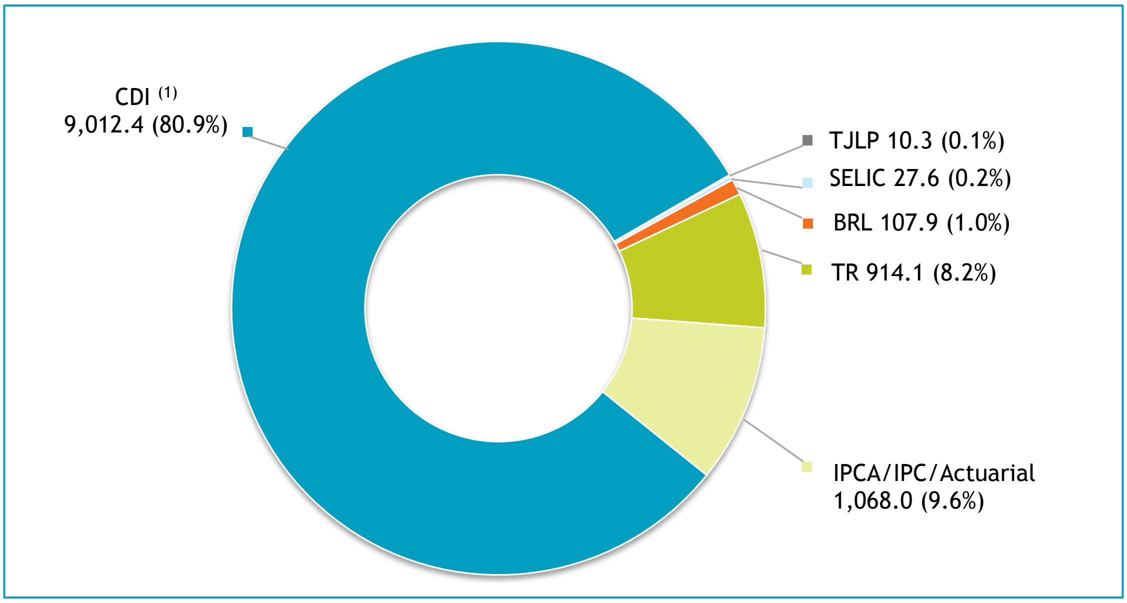
Loans, financing, debentures and debt charges increased by R$ 289.3 million, reflecting issuances made over the first nine months of 2018 for working capital and investments of Energisa Group.

In December 2017 and March 2018, the net derivative financial instruments were impacted by the mark-to-market of the conversion option for the 7th issuance debentures of Energisa S/A of R$ 257.4 million. There was no additional effect from mark-to-market in 3Q18.

4.2 Cost and average debt tenor

At the end of September 2018, the average debt tenor was 4.8 years, compared with 6.7 in December 2017. In turn, the average cost of the net debt dropped by 0.79 percentage points in the first nine months of 2018, closing the period at 8.53% per annum (133.55% of the CDI rate), compared with 9.32% (135.20% of the CDI rate) in December 2017.

Bank Debt and Issuances Consolidated by Index (R$ million)



Nb: The foreign currency debt is subject to swaps for the CDI rate and other currency hedge instruments. This balance was a net liability of R$ 443.5 million in September 2018.
(1) Dollar debt converted to CDI, without a hedge cap.

4.3 Ratings - agencies reaffirm Energisa's ratings following the acquisitions Ceron and Eletroacre, and Fitch and Standard & Poor's and Moody's raise the domestic ratings to AAA

The agencies Fitch Ratings, Standard & Poor's and Moody's have reaffirmed the credit ratings of Energisa S/A, which reflect the Company's greater overall capacity to honor its financial obligations. Additionaly, on July 11, S&P Global revised the credit ratings for Energisa S.A., Energisa Paraíba and Energisa Sergipe in accordance to the new credit methodology for the domestic and regional scale, raising this company's ratings from brAA- (stable) to brAAA (stable). Moreover, on September 28, Fitch attributed for the first time the domestic long run rating of AAA(br) to Energisa, with a stable perspective.

Fitch believes that the acquisitions on August 30, 2018 of Centrais Elétricas de Rondônia S/A ("Ceron") and Companhia de Eletricidade do Acre ("Eletroacre") do not change Energisa Group's consolidated credit profile. The agency believes the group has a positive track record to improve the performance of energy distribution companies, and should also rely on synergy gains and an extraordinary rate reviews in the concessions.

Standard & Poors ("S&P") also stated Energisa's ratings and outlook have not been affected by the acquisitions. S&P believes the company will benefit from expanding its footprint in Brazil, especially in the north of the country, as the states of Rondônia and Acre are adjacent to Mato Grosso, where the group's distribution company Energisa Mato Grosso operates, which will enable economies of scale and synergies. The agency also expects Energisa Group will be able to improve the operational and financial performance of Ceron and Eletroacre in the years ahead, given its positive track record in restructuring distribution companies.

Moody's believes that Energisa has the reserves to meet the capital requirements and initial investments in the new concessions, given its healthy cash position of some R$ 3 billion. The agency stated that although the transaction negatively affects cash flow in the short-term, a swift improvement in the operational performance of the acquired distribution companies could potentially restore Energisa's finances to pre-acquisition levels by 2021. Moody's also emphasizes that Energisa has a lengthy history in the energy distribution business and an experienced management team that has already turned around the financial and operational performance of current investees.

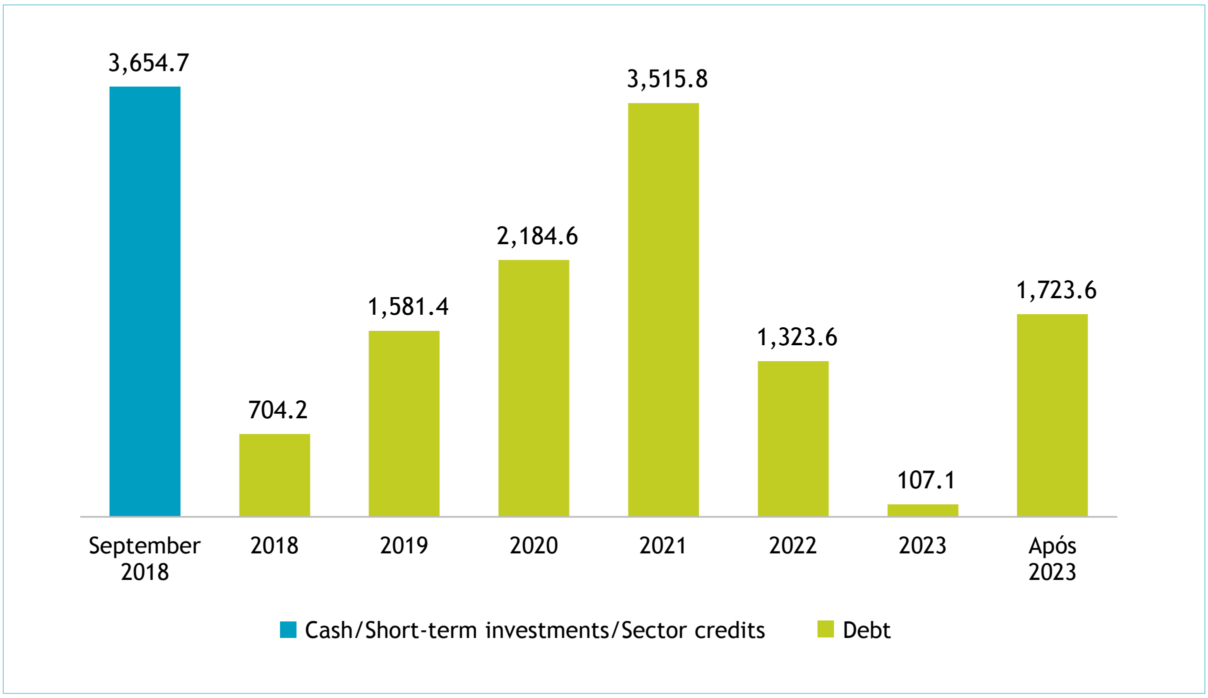
See below the current ratings issued by the agencies Standard & Poor's, Moody's and Fitch Ratings:

Branch	Domestic Rating/Outlook	Global Rating/Outlook	Latest Report
Standard & Poor's	brAAA (stable)	BB- (stable)	Sep/2018
Moody's	Aa2.br (stable)	Ba2 (stable)	Sep/2018
Fitch Ratings	AAA (bra) (stable)	BB+ (stable)	Sep/2018

4.4 Debt repayment schedule

The repayment schedule for consolidated loans, financing, debt charges and debentures vis-à-vis cash as of September 30, 2018 is shown in the graph below:

Schedule for amortization of bank debt and issuance (R$ millions)



5 Investment

In 3Q18 the total investment in Energisa Group's concession areas amounted to R$ 451.3 million, a decrease of 3.5% on the R$ 467.7 million invested in the same quarter of last year. The investments in electricity assets (excluding the funds from Special Obligations) amounted to R$ 365.2 million, an increase of 21.3% on the previous figure. Substantial investment was made in the electric assets of the concession operators EMT (R$ 166.6 million) and ETO (R$ 69.5 million).

In YTD 9M18, the investments amounted to R$ 1,276.4 million, a decrease of 17.4% over the amount invested in 9M17.

The investments made by subsidiary in 3Q18 and 9M18 were as follows:

Investment Quarter Amounts in R$ million	Electricity Assets			Special Obligations			Non-electric assets			Total Investment		
	3Q18	3Q17	Change %	3Q18	3Q17	Change %	3Q18	3Q17	Change %	3Q18	3Q17	Change %
EMG	7.2	7.8	- 7.7	9.1	1.3	+ 600.0	11.5	8.9	+ 29.2	27.8	18.0	+ 54.4
ENF	1.2	1.5	- 20.0	0.0	0.0	-	0.5	0.2	+ 150.0	1.7	1.7	-
ESE	11.2	27.1	- 58.7	0.9	2.1	- 57.1	6.8	2.7	+ 151.9	18.9	31.9	- 40.8
EBO	2.4	2.9	- 16.9	0.5	0.4	+ 22.5	1.3	0.2	+ 550.0	4.2	3.5	+ 20.0
EPB	29.3	27.2	+ 7.7	2.2	2.2	-	12.8	2.5	+ 412.0	44.3	31.9	+ 38.9
EMT	166.6	127.0	+ 31.3	2.1	28.0	- 92.5	1.0	5.8	- 82.8	169.7	160.8	+ 5.6
EMS	38.6	47.9	- 19.4	2.9	31.6	- 90.8	20.2	0.3	+ 6,633.3	61.7	79.8	- 22.7
ETO	69.5	33.5	+ 107.5	(9.9)	42.6	-	3.4	3.9	- 12.8	63.0	80.0	- 21.3
ESS	22.8	22.9	- 0.4	4.2	9.3	- 54.8	7.8	14.7	- 46.9	34.8	46.9	- 25.8
Total at distribution companies	**348.8**	**297.7**	**+ 17.2**	**12.0**	**117.5**	**- 89.8**	**65.3**	**39.2**	**+ 66.6**	**426.1**	**454.4**	**- 6.2**
EPA I	6.9	1.9	+ 263.2	-	-	-	-	-	-	6.9	1.9	+ 263.2
EGO I	8.1	1.5	+ 440.0	-	-	-	-	-	-	8.1	1.5	+ 440.0
EPA II	1.4	-	-	-	-	-	-	-	-	1.4	-	-
ESOL Consolidated	-	-	-	-	-	-	4.5	0.6	+ 650.0	4.5	0.6	+ 650.0
Other	-	-	-	-	-	-	4.3	9.3	- 53.8	4.3	9.3	- 53.8
Total	**365.2**	**301.1**	**+ 21.3**	**12.0**	**117.5**	**- 89.8**	**74.1**	**49.1**	**+ 50.9**	**451.3**	**467.7**	**- 3.5**

YTD Investments Amounts in R$ million	Electricity Assets			Special Obligations			Non-electric assets			Total Investment		
	9M18	9M17	Change %	9M18	9M17	Change %	9M18	9M17	Change %	9M18	9M17	Change %
EMG	25.0	27.3	- 8.4	15.3	8.3	+ 84.3	21.1	27.5	- 23.3	61.4	63.1	- 2.7
ENF	4.4	4.0	+ 10.0	0.3	0.7	- 57.1	1.0	0.7	+ 42.9	5.7	5.4	+ 5.6
ESE	36.2	72.5	- 50.1	10.1	8.0	+ 26.3	10.1	4.8	+ 110.4	56.4	85.3	- 33.9
EBO	7.6	8.4	- 9.5	1.5	0.8	+ 87.5	2.3	0.5	+ 360.0	11.4	9.7	+ 17.5
EPB	87.9	84.4	+ 4.1	5.4	10.7	- 49.5	20.9	5.4	+ 287.0	114.2	100.5	+ 13.6
EMT	371.2	387.2	- 4.1	75.9	135.0	- 43.8	12.2	12.5	- 2.4	459.3	534.7	- 14.1
EMS	129.3	168.5	- 23.3	20.6	247.8	- 91.7	26.0	5.1	+ 409.8	175.9	421.4	- 58.3
ETO	210.2	104.1	+ 101.9	(5.9)	53.8	-	13.0	7.9	+ 64.6	217.3	165.8	+ 31.1
ESS	69.8	52.9	+ 31.9	9.1	29.2	- 68.8	12.2	24.4	- 50.0	91.1	106.5	- 14.5
Total at distribution companies	**941.6**	**909.3**	**+ 3.6**	**132.3**	**494.3**	**- 73.2**	**118.8**	**88.8**	**+ 33.8**	**1,192.7**	**1,492.4**	**- 20.1**
EPA I	32.2	1.9	+ 1,594.7	-	-	-	-	-	-	32.2	1.9	+ 1,594.7
EGO I	29.4	1.5	+ 1,860.0	-	-	-	-	-	-	29.4	1.5	+ 1,860.0
EPA II	1.4	-	-	-	-	-	-	-	-	1.4	-	-
ESOL Consolidated	-	-	-	-	-	-	9.8	16.8	- 41.7	9.8	16.8	- 41.7
Other	-	-	-	-	-	-	10.9	33.6	- 67.6	10.9	33.6	- 67.6
Total	**1,004.6**	**912.7**	**+ 10.1**	**132.3**	**494.3**	**- 73.2**	**139.5**	**139.2**	**+ 0.2**	**1,276.4**	**1,546.2**	**- 17.4**

Obs: The “Special Obligations” are funds the Government, states, municipalities and consumers contribute to the concession and do not comprise the distribution company's Regulatory Remuneration Base.

6 Cash flow

In 3Q18 Energisa's operational cash generation was R$ 53.4 million less than in 3Q17. Investment activities in 3Q18 increased by R$ 24.4 million over 3Q17, and financing activities had a variation of R$ 78.9 million.

Consolidated Cash Flow Amounts in R$ million	Quarter		Accumulated	
	3Q18	3Q17	9M18	9M17
Opening Balance of Cash and Cash Equivalents	**1,173.7**	**726.5**	**921.5**	**797.2**
(a) Net Cash from Operating Activities (a=i+ii)	**284.2**	**337.6**	**822.1**	**1,332.6**
(i) Cash Provided by Operating Activities	**725.8**	**526.3**	**1,937.1**	**1,620.9**
Net Income before Income Tax	329.0	172.1	746.1	443.0
Expenses on interest and monetary and exchange variance	287.1	10.8	1,039.0	310.2
Provisions/ reversals	7.9	23.9	28.8	127.2
Sale of aircraft	-	-	-	(18.6)
Residual value of retired fixed assets	28.1	1.3	85.9	32.1
Depreciation and amortization	202.4	213.4	619.2	587.3
Adjustment to fair value of compensatable financial asset of the concession	(37.3)	(10.7)	(276.1)	(32.1)
Mark-to-market and derivative instruments	(91.4)	95.8	(305.6)	152.1
Provisions for adjustments to realizable value of credits receivable	-	19.7	-	19.7
(ii) Changes in Assets and Liabilities	**(441.6)**	**(188.7)**	**(1,115.1)**	**(288.3)**
Working capital	(160.3)	342.6	(270.0)	218.0
Taxes	2.3	24.2	(12.2)	(6.5)
Recoverable taxes	(86.6)	(60.6)	(219.4)	(113.5)
Regulatory assets / liabilities	(293.8)	(402.9)	(643.3)	(181.6)
Escrow and secured deposits	4.4	(8.7)	(11.6)	(52.0)
Other	92.4	(83.5)	41.5	(152.7)
(b) Net cash produced by investment activities	**(139.0)**	**(114.6)**	**(733.0)**	**(470.1)**
Allocations to PPE / intangible assets	(507.7)	(378.7)	(1,115.0)	(979.2)
Acquisition of property, plant and equipment	8.3	42.6	-	-
Sale of PP&E / intangible assets / generating assets	12.3	50.2	109.9	94.4
Applications to electricity transmission lines	(16.3)	-	(67.2)	-
Short-term investments	364.2	171.3	339.3	414.7
Other	0.2	-	0.1	-
(c) Net cash produced by financing activities	**(189.8)**	**(110.9)**	**118.5**	**(821.2)**
Financing obtained	479.5	778.1	3,969.2	1,658.6
Payment of loans, financing and debentures payments - principal	(297.4)	(429.6)	(2,372.1)	(1,419.0)
Payment of loans, financing and debentures payments - interest	(214.0)	(223.2)	(431.4)	(495.7)
Derivative settlement	7.1	(29.1)	69.0	(57.7)
Dividends	(99.8)	(90.8)	(285.3)	(205.8)
Financing of taxes, payables and sector charges	(52.0)	(56.1)	(149.8)	(189.1)
Payment of grid acquisition	(13.1)	(60.4)	(113.6)	(112.5)
Acquisition of minority interest	-	-	(567.4)	-
(d) Increase (Decrease) of Cash (d=a+b+c)	**(44.6)**	**112.0**	**207.6**	**41.3**
Closing Balance of Cash and Cash Equivalents	**1,129.1**	**838.5**	**1,129.1**	**838.5**
(+) Balance of short-term investments and sector credits	2,525.6	1,976.4	2,525.6	1,976.4
Closing balance of cash, short-term investments and sector credits	**3,654.7**	**2,814.9**	**3,654.7**	**2,814.9**

In September 2018 short-term investments amounted to R$ 1,669.5 million and sector credits were a positive R$ 856.1 million, resulting in a consolidated cash position of R$ 3,654.7 million.

7 Capital market

7.1 Stock Performance

Traded on B3, the Energisa shares with the greatest liquidity ENGI11 – Units (consisting of 1 common share and 4 preferred shares) yielded 14,2% in the first nine months of 2018, and closed the period quoted at R$ 30.79 per Unit. Over the same period, the main stock exchange index, Ibovespa, gained 6.8%, while the IEE index shed 4.7%. See below the market indicators of Energisa's shares at the end of the nine months:

	September/18	September/17	Change %
Market indexes			
Enterprise value (EV - R$ million) [1]	19,309.2	15,001.0	+ 28.7
Market value at the end of the 9 months (R$ million)	10,652.3	8,863.6	+ 20.2
Average daily volume traded in 9 months - Units (R$ million)	31.0	15.9	+ 95.0
Share prices			
ENGI11 (Unit) closing price at the end of the nine months (R$ /Unit)	30.79	25.62	+ 20.2
ENGI3 (ON) closing price at the end of the nine months (R$ /share)	10.90	7.43	+ 46.7
ENGI4 (PN) closing price at the end of the first months (R$ /share)	4.97	4.50	+ 10.4
Relative indicators			
Dividend yield of ENGI11 (Units) - % [2]	2.3	2.4	- 0.1 p.p
Total return to Units shareholder (TSR) - Past 12 months %	23.2	25.6	- 2.4 p.p
Market Value / Shareholders' Equity (times)	2.5	2.3	+ 8.7

(1) EV = Market value (R$/Unit vs. number of shares converted into Units) + consolidated net debt; and
(2) Dividends paid out in the last four quarters / closing price of the Units.

8 Subsequent events

8.1 Acquisitions of the distribution companies Ceron and Eletroacre

In a privatization auction on August 30, 2018, Energisa (or "Company") acquired a controlling interest in Centrais Elétricas de Rondônia ("Ceron") and Companhia de Eletricidade do Acre ("Eletroacre"). The negative goodwill offered by the Company for regulatory flexibilization and the concession was 21% for Ceron and 31% for Eletroacre.

8.1.1 Energisa Group profile following the new acquisitions

With the acquisition of Ceron and Eletroacre, Energisa Group now owns 11 distribution utilities with approximately 7.6 million consumers in a service area with a population of approximately 20 million people.

Pre-and post-acquisition financial indicators

Description (Data for 9M18)	Consolidated pre-acquisition (Sep/2018)	Ceron (Jun/2018)	Eletroacre (Jun/2018)	Consolidated proforma post-acquisition
Concession area (Km² thousands)	1,632	238	164	2,034
Municipalities served	788	52	22	862
Number of captive consumers (thousands)	6,743	639	259	7,641
Captive consumption + free energy (GWh)	22,486	775	266	23,527
Market share in Brazil				
. In area served (%)	19.1	2.9	1.9	23.9
. Number of consumers (%)	8.1	0.9	0.4	9.4

The results of operations of Ceron and Eletroacre will be consolidated in Energisa's financial statements from respectively November and December 2018.

8.2 Energisa's distribution companies issue debentures in the amount of R$ 1.1 billion

Energisa Group completed a public offering of 1,100,000 ordinary debentures through seven of its subsidiaries. The non-convertible, secured debentures, in a single series, have a unit value of R$ 1,000.00, for a total offering price of R$ 1.1 billion, maturing on September 15, 2025.

The debentures yield semiannual interest, as follows:

Debenture issuances by Energisa Group distribution companies						
Company	Issuance Number	Number of Debentures	Total Amount (R$)	Yield	Swap	Maturity
Energisa Minas Gerais	10th	50,000	50,000,000.00	IPCA+ 5.0797% p.a.	103,7% of CDI	9/15/2025
Energisa Sergipe	6th	65,000	64,610,000.00	IPCA+ 5.0797% p.a.	103,7% of CDI	9/15/2025
Energisa Paraíba	5th	135,000	134,190,000.00	IPCA+ 5.0797% p.a.	103,7% of CDI	9/15/2025
Energisa Mato Grosso	9th	385,000	385,000,000.00	IPCA+ 5.0797% p.a.	103,7% of CDI	9/15/2025
Energisa Mato Grosso do Sul	11th	155,000	153,295,000.00	IPCA+ 5.0797% p.a.	103,7% of CDI	9/15/2025
Energisa Tocantins	4th	240,000	240,000,000.00	IPCA+ 5.0797% p.a.	103,7% of CDI	9/15/2025
Energisa Sul Sudeste	4th	70,000	70,000,000.00	IPCA+ 5.0797% p.a.	103,7% of CDI	9/15/2025

The debentures qualify for the incentive established in article 2 of Law 12431, issued June 24, 2011, as amended, and other applicable legislation.

The funds raised under the issuance will be invested in the 2018 (part) and 2019 investment programs set out in the Distribution Development Plans submitted to the National Electricity Regulatory Agency (Aneel) by the distribution companies.

8.3 Energisa raises capital through private subscription

Energisa's Board of Directors approved on November 8, 2018 to perform a capital increase in the Company, subject to the authorized capital limit, representative of 5% of its current share base, or 86,491,364 new shares (36,010,518 common shares and 50,480,846 shares preferred shares), at a price of R$ 6.70 per share or R$ 33.50 per unit, which will total a maximum capital increase of R$ 579.5 million ("maximum amount").

The Board has also approved that there may not be a period to subscribe remaining shares and that the capital increase may be concluded during the preemptive right period in case the subscribed amount exceeds the minimum of 75% of the maximum amount, or R$ 434.6 million, through the issuance of 64,868,523 new shares, at its minimum.

Common or preferred shareholders or Unitholders at November 13, 2018 will hold preemptive subscription rights at a proportion of 5.0%, with common and preferred shareholders being entitled to subscribe shares of the same kind and Unitholders being entitled to subscribe Units. Shareholders have 30 (thirty) days to exercise their Pre-Emptive Rights, commencing November 14, 2018 and ending December 13, 2018 inclusive.

Following the capital increase, the Company's share capital will increase from R$ 2,796.0 to a maximum of R$ 3,375.5 million or a minimum of R$ 3,230.6 million.

9 Services rendered by the independent auditor.

The auditors Ernst & Young Auditores Independentes S.S. received overall compensation of R$ 6.0 million for revising the financial statements of the Company and its subsidiaries in the first nine months of 2018. The Company's engagement policy complies with the principles that sustain the auditor's independence, in accordance with existing standards, which mainly determine that the auditor should not audit its own work, perform managerial duties for its client or pursue its interests.

Management.

Appendix I – Supplementary Information

A.1 Energy sales by concession area

Energisa Minas Gerais

Description Amounts in GWh	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ **Residential**	119.2	118.6	0.5	386.1	374.7	3.0
✓ **Industrial**	**100.7**	100.6	0.1	**296.8**	299.7	(1.0)
• Captive	32.2	31.8	1.3	94.7	97.7	(3.1)
• Free	68.5	68.8	(0.4)	202.1	202.0	-
✓ **Commercial**	**51.9**	52.8	(1.7)	**173.9**	174.4	(0.3)
• Captive	49.5	50.7	(2.4)	166.7	168.0	(0.8)
• Free	2.4	2.1	14.3	7.2	6.4	12.5
✓ **Rural**	**54.5**	50.2	8.6	**145.7**	138.6	5.2
✓ **Other Sectors**	**40.0**	39.3	**1.8**	**120.6**	118.8	**1.5**
1) Energy sales to captive consumers	**295.4**	**290.6**	**1.7**	**913.7**	**897.8**	**1.8**
2) Energy associated with free consumers (TUSD)	70.9	70.9	-	209.3	208.4	0.4
3) Captive sales + Free Clients (1+2)	**366.3**	**361.5**	**1.3**	**1,123.0**	**1,106.2**	**1.5**
4) Unbilled sales	4.9	(3.4)	-	(0.5)	(3.6)	(86.1)
5) Captive sales + Free Clients + Unbilled supply (3+4)	**371.2**	**358.1**	**3.7**	**1,122.5**	**1,102.6**	**1.8**

Energisa Nova Friburgo

Description Amounts in GWh	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ **Residential**	**40.5**	**41.4**	**(2.2)**	**122.1**	**120.9**	**1.0**
✓ **Industrial**	**12.7**	**12.5**	1.6	**37.1**	**37.1**	-
• Captive	7.4	9.9	(25.3)	21.8	32.0	(32.1)
• Free	5.3	2.6	103.8	15.3	5.1	201.3
✓ **Commercial**	**15.8**	**15.9**	(0.6)	**49.7**	**50.4**	(1.3)
• Captive	15.3	15.4	(0.6)	48.2	48.9	(1.4)
• Free	0.5	0.5	-	1.5	1.5	-
✓ **Rural**	**1.3**	**1.4**	(7.1)	**3.9**	**4.1**	(5.0)
✓ **Other Sectors**	**9.6**	**10.1**	(5.0)	**29.5**	**30.1**	**(1.9)**
• Captive	**8.6**	9.0	(4.4)	26.2	26.8	(2.1)
• Free	1.1	1.1	-	3.3	3.3	-
1 Energy sales to captive consumers	**73.1**	**77.1**	**(5.2)**	**222.2**	**232.7**	**(4.5)**
2 Energy associated with free consumers (TUSD)	6.9	4.2	64.3	20.1	9.9	104.5
3 Captive sales + Free Clients (1+2)	**80.0**	**81.3**	**(1.6)**	**242.3**	**242.6**	**(0.1)**
4 Unbilled sales	1.0	(1.0)	-	(0.1)	(0.9)	(90.8)
5 Captive sales + Free Clients + Unbilled supply (3+4)	**81.0**	**80.3**	**0.9**	**242.2**	**241.7**	**0.2**

Energisa Sergipe

Description Amounts in GWh	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ **Residential**	**238.0**	**227.7**	**4.5**	**780.8**	**762.9**	**2.3**
✓ **Industrial**	**195.3**	**198.7**	**(1.7)**	**584.1**	**592.7**	**(1.5)**
• Captive	49.5	52.1	(5.0)	151.1	159.9	(5.5)
• Free	145.7	146.6	(0.6)	433.0	432.8	-
✓ **Commercial**	**137.2**	**126.5**	**8.5**	**436.5**	**416.7**	**4.8**
• Captive	117.9	110.5	6.7	377.9	366.4	3.1
• Free	19.2	16.0	20.0	58.6	50.3	16.5
✓ **Rural**	26.0	15.7	65.6	83.7	77.0	8.7
✓ **Other Sectors**	134.9	130.0	3.8	412.7	396.8	4.0
1 Electricity sales to captive consumers	**566.3**	**536.0**	**5.7**	**1,806.1**	**1,763.0**	**2.4**
2 Energy associated with free consumers (TUSD)	164.9	162.6	1.4	491.6	483.1	1.8
3 Captive sales + Free Clients (1+2)	**731.2**	**698.6**	**4.7**	**2,297.7**	**2,246.1**	**2.3**
4 Unbilled sales	5.1	(10.4)	-	(3.6)	(16.0)	(77.5)
5 Captive sales + Free Clients + Unbilled supply (3+4)	**736.3**	**688.2**	**7.0**	**2,294.1**	**2,230.1**	**2.9**

Energisa Borborema

Description	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ **Residential**	**57.7**	**57.1**	**1.1**	**182.1**	**180.2**	**1.0**
✓ **Industrial**	**38.8**	34.9	11.2	**104.8**	100.1	4.6
• Captive	18.2	16.9	7.7	51.5	48.2	6.7
• Free	20.5	18.0	13.9	53.3	51.9	2.7
✓ **Commercial**	**37.4**	35.3	5.9	**117.3**	115.7	1.4
• Captive	32.8	31.7	3.5	103.3	105.2	(1.8)
• Free	4.5	3.6	25.0	14.0	10.5	33.4
✓ **Rural**	**5.6**	5.7	(1.8)	**17.5**	17.7	(1.0)
✓ **Other Sectors**	**19.8**	12.1	**63.6**	**61.4**	59.9	**2.6**
1) Energy sales to captive consumers	**134.2**	**123.5**	**8.7**	**415.8**	**411.2**	**1.1**
2) Energy associated with free consumers (TUSD)	25.1	21.6	16.2	67.4	62.4	7.9
3) Captive sales + Free Clients (1+2)	**159.3**	**145.1**	**9.8**	**483.2**	**473.6**	**2.0**
4) Unbilled sales	1.5	(2.8)	-	(1.0)	(2.7)	(63.0)
5) Captive sales + Free Clients + Unbilled supply (3+4)	**160.8**	**142.3**	**13.0**	**482.2**	**470.9**	**2.4**

Energisa Paraíba

Description	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ **Residential**	**393.4**	**384.9**	**2.2**	**1,260.0**	**1,243.7**	**1.3**
✓ **Industrial**	**205.5**	**201.4**	**2.0**	**592.6**	**591.9**	**0.1**
• Captive	79.4	82.6	(3.9)	236.5	252.5	(6.3)
• Free	126.2	118.8	6.2	356.1	339.4	4.9
✓ **Commercial**	**185.0**	**181.1**	**2.2**	**583.9**	**576.5**	**1.3**
• Captive	162.3	161.7	0.4	513.1	520.8	(1.5)
• Free	22.7	19.4	17.0	70.8	55.6	27.4
✓ **Rural**	**70.5**	**61.4**	**14.8**	**198.8**	**186.5**	**6.6**
✓ **Other Sectors**	**175.6**	**164.1**	**7.0**	**533.5**	**506.4**	**5.3**
1) Energy sales to captive consumers	**881.1**	**854.7**	**3.1**	**2,741.9**	**2,709.9**	**1.2**
2) Energy associated with free consumers (TUSD)	148.9	138.2	7.7	426.9	395.0	8.1
3) Captive sales + Free Clients (1+2)	**1,030.0**	**992.9**	**3.7**	**3,168.8**	**3,104.9**	**2.1**
4) Unbilled sales	11.7	(14.9)	-	(5.1)	(20.3)	(75.1)
5) Captive sales + Free Clients + Unbilled supply (3+4)	**1,041.7**	**978.0**	**6.5**	**3,163.7**	**3,084.6**	**2.6**

Energisa Mato Grosso

Description	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ Residential	658.8	685.2	(3.9)	2,057.6	2,031.5	1.3
✓ **Industrial**	**519.9**	**498.7**	**4.3**	**1,444.0**	**1,384.0**	**4.3**
• Captive	170.2	181.8	(6.4)	483.4	498.2	(3.0)
• Free	349.7	316.9	10.4	960.6	885.8	8.4
✓	**416.8**	**421.4**	**(1.1)**	**1,289.4**	**1,277.7**	**0.9**
• Captive	368.6	375.1	(1.7)	1,144.6	1,139.5	0.4
• Free	48.2	46.3	4.1	144.7	138.2	4.7
✓ **Rural**	**394.5**	**370.1**	**6.6**	**932.4**	**881.2**	**5.8**
• Captive	373.5	350.3	6.6	892.7	844.5	5.7
• Free	21.0	19.8	6.1	39.7	36.7	8.2
✓ **Other Sectors**	**236.5**	**231.7**	**2.1**	**684.6**	**694.5**	**(1.4)**
1) Energy sales to captive consumers	**1,807.6**	**1,824.1**	**(0.9)**	**5,262.9**	**5,208.2**	1.1
2) Energy associated with free consumers (TUSD)	418.9	383.0	9.4	1,145.1	1,060.7	8.0
3) Captive sales + Free Clients (1+2)	**2,226.5**	**2,207.1**	**0.9**	**6,408.0**	**6,268.9**	2.2
4) Unbilled sales	20.9	5.7	266.7	(2.7)	10.4	-
5) Captive sales + Free Clients + Unbilled supply (3+4)	**2,247.4**	**2,212.8**	**1.6**	**6,405.3**	**6,279.3**	**2.0**

Energisa Mato Grosso do Sul

Description Amounts in GWh	Quarter			9 months		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ Residential	398.1	406.2	(2.0)	1,360.5	1,316.8	3.3
✓ **Industrial**	**282.8**	255.8	10.6	**828.4**	759.5	9.1
• Captive	74.3	77.8	(4.5)	228.1	247.5	(7.9)
• Free	208.5	178.0	17.1	600.3	512.0	17.3
✓ **Commercial**	**261.0**	272.2	(4.1)	**857.3**	854.0	0.4
• Captive	231.6	243.2	(4.8)	768.7	776.9	(1.1)
• Free	29.5	29.0	1.7	88.6	77.1	14.9
✓ **Rural**	**136.4**	134.1	1.7	**420.2**	392.6	7.0
• Captive	135.9	134.1	1.3	418.6	392.6	6.6
• Free	0.5	-	-	1.6	-	-
✓ **Other Sectors**	**160.4**	163.9	(2.1)	**505.1**	501.1	0.8
• Captive	147.9	151.8	(2.6)	**468.6**	467.5	0.2
• Free	12.4	12.1	2.5	36.5	33.6	8.6
1) Energy sales to captive consumers	**987.7**	**1,013.1**	**(2.5)**	**3,244.5**	**3,201.3**	**1.3**
2) Energy associated with free consumers (TUSD)	250.8	219.1	14.5	726.9	622.7	16.7
3) Captive sales + Free Clients (1+2)	**1,238.6**	**1,232.2**	**0.5**	**3,971.4**	**3,824.0**	**3.9**
4) Unbilled sales	3.8	17.8	(78.7)	(63.2)	(34.7)	82.1
5) Captive sales + Free Clients + Unbilled supply (3+4)	**1,242.4**	**1,250.0**	**(0.6)**	**3,908.2**	**3,789.3**	**3.1**

Energisa Tocantins

Description	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ Residential	250.5	239.8	4.5	719.2	694.2	3.6
✓ Industrial	**93.9**	80.1	17.2	**258.7**	217.8	18.8
• Captive	41.9	44.6	(6.1)	126.2	133.7	(5.6)
• Free	52.0	35.5	46.5	132.4	84.1	57.4
✓ Commercial	**109.7**	109.0	0.6	**318.6**	321.4	(0.9)
• Captive	102.1	101.6	0.5	296.2	299.3	(1.0)
• Free	7.6	7.4	2.7	22.4	22.1	1.4
✓ Rural	**67.0**	64.5	3.9	**171.9**	169.5	1.4
✓ Other Sectors	**90.1**	88.6	1.7	**260.5**	255.7	1.9
1 Energy sales to captive consumers	**551.6**	**539.1**	**2.3**	**1,574.0**	**1,552.4**	**1.4**
2 Energy associated with free consumers (TUSD)	59.6	42.9	38.9	154.9	106.2	45.9
3 Captive sales + Free Clients (1+2)	**611.2**	**582.0**	**5.0**	**1,728.9**	**1,658.6**	**4.2**
4 Unbilled sales	10.9	4.2	159.5	5.8	(2.0)	-
5 Captive sales + Free Clients + Unbilled supply (3+4)	**622.1**	**586.2**	**6.1**	**1,734.7**	**1,656.6**	**4.7**

Energisa Sul Sudeste

Description	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
✓ Residential	329.4	316.7	4.0	1,063.1	1,022.6	4.0
✓ Industrial	**299.2**	**281.0**	6.5	**904.0**	**851.7**	6.1
• Captive	79.4	86.7	(8.4)	259.3	292.9	(11.5)
• Free	219.8	194.3	13.1	644.7	558.8	15.4
✓ Commercial	**181.9**	**181.5**	0.2	**592.0**	**587.2**	0.8
• Captive	162.7	164.6	(1.2)	531.4	539.9	(1.6)
• Free	19.2	16.9	13.6	60.6	47.3	28.2
✓ Rural	**84.5**	78.0	8.3	**240.4**	219.9	9.4
✓ Other Sectors	**117.3**	116.8	0.4	**357.6**	353.6	1.1
• Captive	**115.1**	116.8	(1.5)	**351.3**	353.6	(0.7)
• Free	2.2	-	-	6.3	-	-
1) Energy sales to captive consumers	**771.1**	**762.8**	**1.1**	**2,445.5**	**2,428.9**	**0.7**
2) Energy associated with free consumers (TUSD)	241.3	211.2	14.3	711.6	606.1	17.4
3) Captive sales + Free Clients (1+2)	**1,012.4**	**974.0**	**3.9**	**3,157.1**	**3,035.0**	**4.0**
4) Unbilled sales	(2.5)	13.0	-	(24.5)	(15.8)	55.1
5) Captive sales + Free Clients + Unbilled supply (3+4)	**1,009.9**	**987.0**	**2.3**	**3,132.6**	**3,019.2**	**3.8**

A.2 Selected financial information of Energisa Consolidated

Statement of Income Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
Gross Revenue	**6,155.0**	**5,413.2**	**+ 13.7**	**17,280.7**	**14,797.0**	**+ 16.8**
Deductions	(2,053.0)	(1,689.5)	+ 21.5	(5,620.0)	(4,926.9)	+ 14.1
Net Revenue	**4,102.0**	**3,723.7**	**+ 10.2**	**11,660.7**	**9,870.1**	**+ 18.1**
Construction revenue	352.7	375.9	- 6.2	997.0	1,048.9	- 4.9
Net revenue, without construction revenue	**3,749.3**	**3,347.8**	**+ 12.0**	**10,663.7**	**8,821.2**	**+ 20.9**
Construction costs	351.3	375.9	- 6.5	991.4	1,048.9	- 5.5
Unmanageable Expenses	**(2,490.6)**	**(2,394.5)**	**+ 4.0**	**(7,038.0)**	**(5,889.0)**	**+ 19.5**
Purchased Energy	(2,237.0)	(2,194.4)	+ 1.9	(6,248.2)	(5,443.6)	+ 14.8
Transmission of Electric Power	(253.6)	(200.1)	+ 26.7	(789.8)	(445.4)	+ 77.3
manageable Expenses	**(536.2)**	**(486.2)**	**+ 10.3**	**(1,535.0)**	**(1,515.1)**	**+ 1.3**
PMSO	**(528.3)**	**(462.3)**	**+ 14.3**	**(1,506.2)**	**(1,387.9)**	**+ 8.5**
Personnel	(247.0)	(230.2)	+ 7.3	(739.2)	(666.5)	+ 10.9
Post-employment benefits	(22.9)	(19.0)	+ 20.5	(56.3)	(57.1)	- 1.4
Material	(39.0)	(33.1)	+ 17.8	(114.0)	(98.9)	+ 15.3
Services	(157.7)	(141.3)	+ 11.6	(454.0)	(436.4)	+ 4.0
Other	(61.7)	(38.7)	+ 59.4	(142.7)	(129.0)	+ 10.6
Provisions/Reversals	(7.9)	(23.9)	- 66.9	(28.8)	(127.2)	- 77.4
Provision for Contingencies	32.3	1.7	+ 1,800.0	66.9	(37.6)	-
Allowance for Doubtful Accounts	(40.2)	(25.6)	+ 57.0	(95.7)	(89.6)	+ 6.8
Depreciation and Amortization	(202.4)	(213.4)	- 5.2	(619.2)	(587.3)	+ 5.4
Other Revenue/Expenses	(28.1)	(1.3)	+ 2,061.5	(85.9)	(13.5)	+ 536.3
EBITDA	**695.8**	**465.8**	**+ 49.4**	**2,010.4**	**1,403.6**	**+ 43.2**
Financial Income/Loss	(164.4)	(80.3)	+ 104.7	(645.1)	(373.3)	+ 72.8
Financial Revenue	150.7	152.6	- 1.2	366.6	448.4	- 18.2
Financial Expense	(315.1)	(232.9)	+ 35.3	(1,011.7)	(821.7)	+ 23.1
Equity in net income of subsidiaries and associated companies	-	-	-	-	-	-
Net income before tax	**329.0**	**172.1**	**+ 91.2**	**746.1**	**443.0**	**+ 68.4**
Taxes	**(69.6)**	**(38.0)**	**+ 83.2**	**(241.0)**	**(103.0)**	**+ 134.0**
Net Income	**259.4**	**134.1**	**+ 93.4**	**505.1**	**340.0**	**+ 48.6**
Attributable to controlling interests	242.5	117.6	+ 106.2	474.6	297.0	+ 59.8
Attributable to noncontrolling interests	16.9	16.5	+ 2.4	30.5	43.0	- 29.1
Adjusted EBITDA	**764.1**	**517.9**	**+ 47.5**	**2,200.3**	**1,566.2**	**+ 40.5**

Note: Adjusted EBITDA = EBITDA + Interest on energy bills revenue

A.3 Selected financial information by distribution company

Statement of Income in 3Q18 Amounts in R$ million	EMG	ENF	ESE	EBO	EPB	EMT	EMS	ETO	ESS
Gross Revenue	**304.8**	**72.5**	**475.9**	**113.9**	**752.8**	**1,881.3**	**993.8**	**556.4**	**695.3**
Deductions	(113.3)	(32.9)	(153.8)	(45.9)	(270.1)	(651.3)	(330.1)	(166.6)	(247.9)
Net Revenue	**191.5**	**39.6**	**322.1**	**68.0**	**482.7**	**1,230.0**	**663.7**	**389.8**	**447.4**
Net Revenue Ex. Construction	**178.5**	**38.6**	**311.1**	**66.7**	**456.6**	**1,084.6**	**609.5**	**328.3**	**424.5**
Unmanageable Expenses	**(118.8)**	**(24.8)**	**(208.0)**	**(43.8)**	**(296.3)**	**(666.3)**	**(408.3)**	**(184.1)**	**(306.4)**
Purchased Energy	(101.3)	(17.6)	(191.9)	(38.1)	(265.4)	(602.9)	(357.8)	(172.3)	(254.5)
Transmission of Electric Power	(17.5)	(7.2)	(16.1)	(5.7)	(30.9)	(63.4)	(50.5)	(11.8)	(51.9)
Manageable Expenses	**(28.5)**	**(5.5)**	**(46.5)**	**(10.9)**	**(71.9)**	**(154.2)**	**(122.5)**	**(62.5)**	**(46.9)**
PMSO	**(27.7)**	**(5.4)**	**(44.8)**	**(12.6)**	**(69.1)**	**(149.8)**	**(119.4)**	**(63.6)**	**(48.4)**
Personnel	(10.9)	(2.1)	(17.9)	(3.9)	(22.4)	(42.9)	(52.6)	(26.4)	(20.5)
Post-employment benefits	(0.6)	(0.4)	(6.5)	(0.4)	(6.8)	(2.5)	(2.2)	(0.4)	(0.4)
Material	(1.6)	(0.4)	(2.0)	(0.6)	(4.1)	(9.2)	(6.4)	(5.1)	(2.7)
Services	(12.8)	(2.2)	(13.7)	(4.2)	(26.8)	(79.6)	(42.1)	(28.5)	(21.0)
Other	(1.8)	(0.3)	(4.7)	(3.5)	(9.0)	(15.6)	(16.1)	(3.2)	(3.8)
Provisions/Reversals	(0.8)	(0.1)	(1.7)	1.7	(2.8)	(4.4)	(3.1)	1.1	1.5
Provision for Contingencies	(0.1)	0.1	(0.1)	0.1	2.6	13.6	12.6	2.8	0.2
Allowance for Doubtful Accounts	(0.7)	(0.2)	(1.6)	1.6	(5.4)	(18.0)	(15.7)	(1.7)	1.3
Depreciation and Amortization	(8.7)	(2.0)	(15.9)	(1.8)	(17.9)	(46.1)	(23.7)	(15.9)	(11.2)
Other Revenue/Expenses	(0.8)	0.2	(1.0)	(0.1)	(0.2)	(9.8)	(12.2)	(3.5)	(0.8)
EBITDA	**30.5**	**8.5**	**55.6**	**11.8**	**88.1**	**254.2**	**66.4**	**78.2**	**70.3**
Financial Income/Loss	**(5.1)**	**(1.0)**	**(7.8)**	**2.4**	**0.9**	**(47.5)**	**(11.2)**	**(11.9)**	**(6.4)**
Net income before tax	**16.7**	**5.5**	**31.9**	**12.4**	**71.1**	**160.6**	**31.5**	**50.4**	**52.7**
Taxes	(4.3)	(1.6)	(12.1)	(1.7)	(12.3)	(20.4)	(6.1)	(6.8)	(15.1)
Net Income	**12.4**	**3.9**	**19.8**	**10.7**	**58.8**	**140.2**	**25.5**	**43.6**	**37.7**
Adjusted EBITDA	**33.7**	**9.3**	**61.8**	**13.3**	**99.6**	**275.8**	**77.9**	**85.1**	**75.7**

A.4 Net revenue by consumption sector by distribution company

See below net revenue by consumption sector by distribution company in 3Q18:

Net revenue by consumption sector in 3Q18 Amounts in R$ million	EMG	ENF	ESE	EBO	EPB
(+) Electricity revenue (captive market)	**228.7**	**63.0**	**365.2**	**91.8**	**598.6**
✓ Residential	104.7	34.4	173.3	42.1	293.6
✓ Industrial	23.9	6.4	29.7	11.8	50.2
✓ Commercial	42.9	14.8	93.3	24.2	125.9
✓ Rural	34.6	1.0	10.9	2.8	31.3
✓ Other sectors	22.6	6.4	58.0	10.9	97.6
(+) Electricity sales to distributors	7.3	-	44.8	3.8	30.1
(+) Net Unbilled Sales	4.9	1.5	1.2	1.5	8.2
(+) Energy sold	-	-	-	-	-
(+) Electricity network usage charges	16.3	4.4	18.6	3.7	20.3
(+) Construction revenue	13.0	1.0	11.0	1.3	26.1
(+) Creation and amortization - CVA	12.3	0.6	8.4	4.9	19.3
(+) Subsidies for services awarded under concession	20.4	1.0	21.4	5.6	43.9
(+) Concession financial assets (VNR)	0.1	-	2.9	0.5	3.9
(+) Other revenue	1.8	1.0	2.4	0.8	2.4
(=) Gross revenue	**304.8**	**72.5**	**475.9**	**113.9**	**752.8**
(-) Sales taxes	86.9	23.5	120.6	33.6	210.3
(-) Rate flag deductions	1.2	3.8	2.7	3.9	14.7
(-) Sector charges	25.2	5.6	30.5	8.4	45.1
(=) Net revenue	**191.5**	**39.6**	**322.1**	**68.0**	**482.7**
(-) Construction revenue	13.0	1.0	11.0	1.3	26.1
(=) Net revenue, without construction revenue	**178.5**	**38.6**	**311.1**	**66.7**	**456.6**

Net revenue by consumption sector (continued)

Net revenue by consumption sector in 3Q18 Amounts in R$ million	EMT	EMS	ETO	ESS
(+) Electricity revenue (captive market)	**1,345.5**	**695.0**	**430.2**	**496.8**
✓ Residential	535.4	299.7	213.8	227.9
✓ Industrial	135.1	54.8	27.3	55.1
✓ Commercial	322.1	173.8	92.2	115.5
✓ Rural	210.1	82.3	38.2	38.0
✓ Other sectors	142.8	84.4	58.7	60.3
(+) Electricity sales to distributors	(6.4)	57.4	15.9	39.9
(+) Net Unbilled Sales	18.6	9.5	10.9	7.9
(+) Energy sold	-	-	-	-
(+) Electricity network usage charges	162.3	46.1	9.8	62.4
(+) Construction revenue	145.4	54.2	61.5	22.9
(+) Creation and amortization - CVA	100.5	72.3	(10.5)	29.2
(+) Subsidies for services awarded under concession	95.5	51.6	29.5	31.0
(+) Concession financial assets (VNR)	14.8	5.8	6.6	0.3
(+) Other revenue	5.1	2.0	2.5	4.9
(=) Gross revenue	**1,881.3**	**993.8**	**556.4**	**695.3**
(-) Sales taxes	505.5	219.0	137.6	172.0
(-) Rate flag deductions	15.0	25.7	3.3	4.0
(-) Sector charges	130.8	85.4	25.7	71.9
(=) Net revenue	**1,230.0**	**663.7**	**389.8**	**447.4**
(-) Construction revenue	145.4	54.2	61.5	22.9
(=) Net revenue, without construction revenue	**1,084.6**	**609.5**	**328.3**	**424.5**

A.5 Operating costs and expenses by distribution company

See below operating expenses by distribution company in 3Q18:

Breakdown of operating expenses Amounts in R$ million	EMG	ENF	ESE	EBO	EPB
1 Unmanageable costs and expenses	**118.8**	**24.8**	**208.0**	**43.8**	**296.3**
1.1 Energy purchased	101.3	17.6	191.9	38.1	265.4
1.2 Transmission of electricity	17.5	7.2	16.1	5.7	30.9
2 - Manageable costs and expenses	**28.5**	**5.5**	**46.5**	**10.9**	**71.9**
2.1 PMSO	**27.7**	**5.4**	**44.8**	**12.6**	**69.1**
2.1.1 Personnel	10.9	2.1	17.9	3.9	22.4
2.1.2 Post-employment benefits	0.6	0.4	6.5	0.4	6.8
2.1.3 Material	1.6	0.4	2.0	0.6	4.1
2.1.4 - Services	12.8	2.2	13.7	4.2	26.8
2.1.5 Other	1.8	0.3	4.7	3.5	9.0
✓ Fines and compensation	-	-	0.1	-	0.2
✓ Contingencies (settlement of civil claims)	0.3	-	1.0	0.3	1.8
✓ Other	1.5	0.3	3.6	3.2	7.0
2.2 Provisions/Reversals	**0.8**	**0.1**	**1.7**	**(1.7)**	**2.8**
2.2.1 Contingencies	0.1	(0.1)	0.1	(0.1)	(2.6)
2.2.2 Doubtful accounts	0.7	0.2	1.6	(1.6)	5.4
3 Other revenue/expenses	**9.5**	**1.8**	**16.9**	**1.9**	**18.1**
3.1 Depreciation and amortization	8.7	2.0	15.9	1.8	17.9
3.2 Other revenue/expenses	0.8	(0.2)	1.0	0.1	0.2
Total Operating Costs and Expenses (1+2+3, without construction costs)	**156.8**	**32.1**	**271.4**	**56.6**	**386.3**
Construction cost	13.0	1.0	11.0	1.3	26.1
Total Operating Costs and Expenses (1+2+3, without construction costs)	**169.8**	**33.1**	**282.4**	**57.9**	**412.4**

Breakdown of operating expenses by distribution company (continued):

Breakdown of operating expenses Amounts in R$ million	EMT	EMS	ETO	ESS
1 Unmanageable costs and expenses	**666.3**	**408.3**	**184.1**	**306.4**
1.1 Energy purchased	602.9	357.8	172.3	254.5
1.2 Transmission of electricity	63.4	50.5	11.8	51.9
2 - Manageable costs and expenses	**154.2**	**122.5**	**62.5**	**46.9**
2.1 PMSO	**149.8**	**119.4**	**63.6**	**48.4**
2.1.1 Personnel	42.9	52.6	26.4	20.5
2.1.2 Post-employment benefits	2.5	2.2	0.4	0.4
2.1.3 Material	9.2	6.4	5.1	2.7
2.1.4 - Services	79.6	42.1	28.5	21.0
2.1.5 Other	15.6	16.1	3.2	3.8
✓ Fines and compensation	0.2	1.8	0.2	-
✓ Contingencies (settlement of civil claims)	9.5	2.7	0.6	1.1
✓ Other	5.9	11.6	2.4	2.7
2.2 Provisions/Reversals	**4.4**	**3.1**	**(1.1)**	**(1.5)**
2.2.1 Contingencies	(13.6)	(12.6)	(2.8)	(0.2)
2.2.2 Doubtful accounts	18.0	15.7	1.7	(1.3)
3 Other revenue/expenses	**55.9**	**35.9**	**19.4**	**12.0**
3.1 Depreciation and amortization	46.1	23.7	15.9	11.2
3.2 Other revenue/expenses	9.8	12.2	3.5	0.8
Total Operating Costs and Expenses (1+2+3, without construction costs)	**876.4**	**566.7**	**266.0**	**365.3**
Construction cost	145.4	54.2	61.5	22.9
Total Operating Costs and Expenses (1+2+3, without construction costs)	**1.021.8**	**620.9**	**327.5**	**388.2**

A.6 Reconciliation of net income and EBITDA

Reconciliation of net income and EBITDA Amounts in R$ million	Quarter			Accumulated		
	3Q18	3Q17	Change %	9M18	9M17	Change %
(=) Consolidated net income	**259.4**	**134.1**	**+ 93.4**	**505.1**	**340.0**	**+ 48.6**
(-) Income and social contribution taxes	(69.6)	(38.0)	+ 83.2	(241.0)	(103.0)	+ 134.0
(-) Financial income/expenses	(164.4)	(80.3)	+ 104.7	(645.1)	(373.3)	+ 72.8
(-) Depreciation and amortization	(202.4)	(213.4)	- 5.2	(619.2)	(587.3)	+ 5.4
(=) EBITDA	**695.8**	**465.8**	**+ 49.4**	**2,010.4**	**1,403.6**	**+ 43.2**
(+) Interest on energy bills revenue	68.3	52.1	+ 31.1	189.9	162.6	+ 16.8
(=) Adjusted EBITDA	**764.1**	**517.9**	**+ 47.5**	**2,200.3**	**1,566.2**	**+ 40.5**
EBITDA Margin (%)	17.0	12.5	+ 4.5 p.p	17.2	14.2	+ 3.0 p.p
Adjusted EBITDA Margin (%)	18.6	13.9	+ 4.7 p.p	18.9	15.9	+ 3.0 p.p

A.7 Net debt by distribution company

Net debts as of September 30, 2018 Amounts in R$ million	EMG	ENF	ESE	EBO	EPB
Current	**87.1**	**4.3**	**252.4**	**34.3**	**267.2**
Loans and financing	84.0	2.1	195.9	31.1	265.3
Debentures	3.2	-	19.7	-	11.1
Debt charges	3.5	0.7	15.2	2.3	11.0
Tax financing and post-employment benefits	1.3	0.2	24.7	0.3	9.7
Regulatory fees	-	-	-	-	-
Financing of debits for energy purchased from Itaipu	-	-	-	-	-
Derivative financial instruments, net	(4.9)	1.3	(3.1)	0.6	(29.9)
Noncurrent	**286.4**	**79.5**	**807.0**	**63.7**	**662.9**
Loans, financing and leasing	232.0	89.5	500.5	68.3	221.1
Debentures	66.1	-	127.6	-	368.0
Tax financing and post-employment benefits	6.8	1.3	263.3	0.4	107.0
Regulatory fees	-	-	-	-	-
Financing of debits for energy purchased from Itaipu	-	-	-	-	-
Derivative financial instruments, net	(18.5)	(11.3)	(84.4)	(5.0)	(33.2)
Total debts	**373.5**	**83.8**	**1,059.4**	**98.0**	**930.1**
(-) Cash and cash equivalents	80.8	37.4	119.0	44.9	141.6
Total net debts	**292.7**	**46.4**	**940.4**	**53.1**	**788.5**
(-) CDE Credits	16.3	1.0	7.0	1.7	29.4
(-) CCC Credits	-	-	-	-	-
(-) CVA Credits	44.2	5.2	65.3	12.6	124.1
Total net debts less sector credits	**232.2**	**40.2**	**868.1**	**38.8**	**635.0**
Relative Indicator					
Net debt / Adjusted EBITDA 12 months [(1)]	1.9	1.4	2.7	0.8	1.4

Net debts as of September 30, 2018 Amounts in R$ million	EMT	EMS	ETO	ESS
Current	**494.9**	**18.7**	**549.3**	**52.4**
Loans and financing	257.7	-	497.0	11.0
Debentures	13.6	10.3	8.7	8.0
Debt charges	34.9	3.1	25.0	3.6
Tax financing and post-employment benefits	5.7	0.1	1.5	20.0
Regulatory fees	62.0	-	6.8	-
Financing of debits for energy purchased from Itaipu	107.3	-	-	-
Derivative financial instruments, net	13.7	5.2	10.3	9.8
Noncurrent	**2,531.5**	**1,261.3**	**580.3**	**531.6**
Loans, financing and leasing	1,797.6	690.9	427.8	316.3
Debentures	772.5	596.1	207.9	201.3
Tax financing and post-employment benefits	44.1	1.4	9.2	60.7
Regulatory fees	-	-	-	-
Financing of debits for energy purchased from Itaipu	-	-	-	-
Derivative financial instruments, net	(82.7)	(27.1)	(64.6)	(46.7)
Total debts	**3,026.4**	**1,280.0**	**1,129.6**	**584.0**
(-) Cash and cash equivalents	213.9	154.1	261.5	108.9
Total net debts	**2,812.5**	**1,125.9**	**868.1**	**475.1**
(-) CDE Credits	65.6	36.8	20.8	24.8
(-) CCC Credits	26.0	-	-	-
(-) CVA Credits	151.7	72.9	41.8	109.0
Total net debts less sector credits	**2,569.2**	**1,016.2**	**805.5**	**341.3**
Relative Indicator				
Net debt / Adjusted EBITDA 12 months [(1)]	2.8	2.4	2.7	1.8

Appendix II - Financial Statements

1. Statement of financial position - assets

ENERGISA S/A
STATEMENT OF FINANCIAL POSITION
AS OF September 30, 2018 AND December 31, 2017 (In thousands of reais)

	Parent Company		Consolidated	
	9/30/2018	12/31/2017	9/30/2018	12/31/2017
Assets				
Current				
Cash and cash equivalents	635,860	134,406	1,129,111	921,481
Money market and secured funds	848,403	660,798	1,547,938	1,758,953
Clients, consumers and concessionaires	39,940	34,280	2,703,210	2,246,232
Credit receivables	574	1,167	24,841	19,940
Inventory	123	94	67,475	57,039
Recoverable taxes	50,979	29,502	748,735	575,826
Dividends receivable	50,912	21,122	-	-
Derivative financial instruments	4,995	3,457	64,798	87,782
Financial sector assets (CVA)	-	-	1,141,291	729,368
Other accounts receivable	27,130	30,468	663,720	702,103
Total current	**1,658,916**	**915,294**	**8,091,119**	**7,098,724**
Non-current				
Noncurrent assets				
Money market and secured funds	1,264,956	1,250,113	121,517	137,837
Clients, consumers and concessionaires	-	-	564,006	472,789
Credit receivables	1,146	1,881	18,010	23,906
Financial sector assets (CVA)	-	-	623,754	384,656
Related-party credits	132,845	417,515	-	-
Recoverable taxes	36,741	42,870	269,943	223,424
Tax credits	195,205	195,205	1,380,216	1,400,036
Restricted deposits and escrows	186	357	260,746	249,138
Derivative financial instruments	29,610	57	406,308	90,635
Compensatable financial assets of the concession	-	-	5,041,492	4,420,666
Other accounts receivable	62,019	62,023	157,318	175,551
Non-current	**1,722,708**	**1,970,021**	**8,843,310**	**7,578,638**
Investments	5,122,883	4,204,270	49,106	49,177
Property, plant and equipment	49,469	48,785	192,363	178,136
Intangible assets	14,780	11,549	7,179,022	7,143,681
Total noncurrent	**6,909,840**	**6,234,625**	**16,263,801**	**14,949,632**
Total assets	**8,568,756**	**7,149,919**	**24,354,920**	**22,048,356**

2. Statement of financial position - liabilities

ENERGISA S/A
STATEMENT OF FINANCIAL POSITION
AS OF September 30, 2018 AND December 31, 2017 (In thousands of reais)

	Parent Company		Consolidated	
	9/30/2018	12/31/2017	9/30/2018	12/31/2017
Liabilities				
Current				
Trade payables	3,656	7,069	1,746,447	1,418,407
Debt charges	8,178	563	113,503	64,008
Loans and financing	158,103	82,914	1,504,649	1,609,488
Debentures	494,425	241,939	510,460	326,147
Taxes and social contributions	6,743	5,824	466,635	496,763
Tax financing	-	-	17,313	10,157
Dividends payable	3,596	91,962	6,011	100,832
Estimated obligations	8,499	5,755	110,832	84,202
Public lighting contribution	-	-	69,725	63,327
Post-employment benefits	1,217	1,217	47,743	46,583
Sector charges	-	-	225,229	289,867
Financial sector liabilities (CVA)	-	-	758,033	714,923
Regulatory fees	-	-	53,850	58,635
Derivative financial instruments	1,155	10,749	656,430	63,568
Incorporation of grids	-	-	42,975	111,053
Other liabilities	60,232	65,475	242,652	287,481
Total current	**745,804**	**513,467**	**6,572,487**	**5,745,441**
Non-current				
Trade payables	-	-	8,755	95,767
Loans and financing	316,205	-	4,994,362	3,924,448
Debentures	2,874,888	2,525,598	4,017,444	3,030,470
Derivative financial instruments	257,421	151,945	258,202	709,016
Taxes and social contributions	-	-	290,291	215,466
Deferred income and social contribution taxes	3,333	647	2,013,604	1,876,706
Tax financing	-	-	47,683	61,706
Debts to related parties	131,430	106,042	-	-
Provision for labor, civil and tax risks	1,398	1,493	432,885	486,111
Post-employment benefits	4,579	3,115	453,652	414,483
Financial sector liabilities (CVA)	-	-	380,245	314,140
Regulatory fees	-	-	-	38,282
Sector charges	-	-	206,603	181,948
Incorporation of grids	-	-	98,917	98,917
Other accounts payable	4,739	4,159	89,258	70,933
Total noncurrent	**3,593,993**	**2,792,999**	**13,291,901**	**11,518,393**
Shareholders' equity				
Share capital	2,795,963	2,795,963	2,795,963	2,795,963
Stock issuance cost	-	(65,723)	-	(65,723)
Capital reserves	(52,747)	(78,835)	(52,747)	(78,835)
Retained earnings	1,189,849	1,286,719	1,189,849	1,286,719
Additional dividends proposed	-	84,114	-	84,114
Other comprehensive income	(178,785)	(178,785)	(178,785)	(178,785)
Retained earnings (Accumulated losses)	474,679	-	474,679	-
Shareholders' Equity	**4,228,959**	**3,843,453**	**4,228,959**	**3,843,453**
Minority interest	-	-	261,573	941,069
Total Shareholders' Equity	**4,228,959**	**3,843,453**	**4,490,532**	**4,784,522**
Total liabilities and shareholders' equity	**8,568,756**	**7,149,919**	**24,354,920**	**22,048,356**

3. Statements of income – 9M18/9M17

ENERGISA S/A
STATEMENT OF INCOME
NINE MONTHS ENDED September 30, 2018 AND 2017 (in thousands of reais)

	Parent Company		Consolidated	
	9M18	9M17	9M18	9M17
Gross operating revenue				
Electricity sales to consumers	-	-	12,125,035	10,983,174
Electricity sales to distributors	-	-	711,254	492,887
Electricity network usage charges	-	-	846,715	659,734
Energy sold	-	-	766,784	581,909
Construction revenue	-	-	997,007	1,048,863
Other revenue	137,643	101,640	1,847,836	1,030,411
	137,643	**101,640**	**17,280,680**	**14,796,978**
Deductions from operating revenue				
ICMS on billing	-	-	2,850,136	2,587,770
PIS, Cofins and ISS	16,015	11,647	1,501,796	1,284,033
Sector charges - Rate flags	-	-	71,292	48,535
Others (CCC, CDE, PEE and P&D)	-	-	1,196,802	1,006,582
	16,015	**11,647**	**5,620,026**	**4,926,920**
Net operating revenue	**121,628**	**89,993**	**11,660,654**	**9,870,058**
Operating expenses				
Electricity purchased	-	-	6,248,235	5,443,571
System service charges	-	-	789,793	445,357
Personnel	53,792	43,824	739,206	666,525
Post-employment benefits	1,963	443	56,301	57,115
Material	908	1,074	113,959	98,881
Outsourced services	47,862	18,060	454,044	436,387
Depreciation and amortization	6,268	3,670	619,158	587,321
Allowance for possible loan losses / contingencies	(144)	232	28,752	127,232
Construction cost	-	-	991,440	1,048,863
Other expenses	2,587	1,642	142,688	128,972
Other Operating Income/Expenses	(1,558)	-	85,874	13,571
	111,678	**68,945**	**10,269,450**	**9,053,795**
Earnings before equity income	**9,950**	**21,048**	**1,391,204**	**816,263**
Equity in income of subsidiaries	700,700	270,200	-	-
Earnings before interest and tax	**710,650**	**291,248**	**1,391,204**	**816,263**
Financial income				
Revenue from short-term investments	108,906	68,901	111,999	193,692
Monetary variance and arrears charge	-	-	189,923	162,601
Other financial revenue	46,469	98,499	64,627	92,127
Debt charges - interest	(190,785)	(109,323)	(509,494)	(451,652)
Debt charges - monetary and exchange variance	(106,961)	(31,920)	(561,288)	(60,347)
Mark to market of debt and derivatives	(107,899)	14,724	(122,344)	21,978
(-) Transfer to PP&E in progress	-	-	(6,545)	2,872
Other financial expenses	16,983	(35,220)	188,011	(334,539)
	(233,287)	**5,661**	**(645,111)**	**(373,268)**
Net income before tax	**477,363**	**296,909**	**746,093**	**442,995**
Income and social contribution taxes	(2,684)	-	(240,962)	(103,044)
Net income for the period	**474,679**	**296,909**	**505,131**	**339,951**
Net income attributable to:	-	-	-	-
Shareholders of parent company	-	-	474,679	296,909
Noncontrolling shareholders	-	-	30,452	43,042
Net income per share - R$	0.27	0.17	-	-

4. Statements of income – 3Q18/3Q17

ENERGISA S/A
STATEMENT OF INCOME
THIRD QUARTER ENDED September 30, 2018 AND 2017 (In thousands of reais)

	Parent Company		Consolidated	
	3Q18	3Q17	3Q18	3Q17
Gross operating revenue				
Electricity sales to consumers	-	-	4,378,994	3,636,981
Electricity sales to distributors	-	-	189,084	219,512
Electricity network usage charges	-	-	356,205	234,037
Energy sold	-	-	281,406	242,103
Construction revenue	-	-	352,665	375,886
Other revenue	50,197	49,023	610,558	704,646
	50,197	**49,023**	**6,154,962**	**5,413,165**
Deductions from operating revenue				
ICMS on billing	-	-	1,012,297	859,580
PIS, Cofins and ISS	5,765	6,074	537,797	468,997
Sector charges - Rate flags	-	-	74,369	29,977
Others (CCC, CDE, PEE and P&D)	-	-	428,491	330,911
	5,765	**6,074**	**2,052,954**	**1,689,465**
Net operating revenue	**44,432**	**42,949**	**4,102,008**	**3,723,700**
Operating expenses				
Electricity purchased	-	-	2,237,038	2,194,422
System service charges	-	-	253,559	200,108
Personnel	18,365	17,617	247,020	230,248
Post-employment benefits	924	204	22,891	18,950
Material	447	507	38,972	33,084
Outsourced services	14,270	6,742	157,744	141,277
Depreciation and amortization	2,174	1,434	202,386	213,395
Allowance for possible loan losses / contingencies	(1,978)	-	7,924	23,904
Construction cost	-	-	351,315	375,886
Other expenses	2,468	938	61,658	38,757
Other Operating Income/Expenses	-	-	28,117	1,309
	36,670	**27,442**	**3,608,624**	**3,471,340**
Earnings before equity income	**7,762**	**15,507**	**493,384**	**252,360**
Equity in income of subsidiaries	295,801	74,308	-	-
Earnings before interest and tax	**303,563**	**89,815**	**493,384**	**252,360**
Financial income				
Revenue from short-term investments	49,988	24,050	43,811	56,385
Monetary variance and arrears charge	-	-	68,296	52,084
Other financial revenue	10,374	37,524	38,623	44,155
Debt charges - interest	(75,502)	(40,170)	(181,711)	(149,043)
Debt charges - monetary and exchange variance	(40,725)	(520)	(133,459)	59,828
Mark to market of debt and derivatives	416	4,410	365	27,426
(-) Transfer to PP&E in progress	-	-	1,424	473
Other financial expenses	(5,774)	2,431	(1,781)	(171,605)
	(61,223)	**27,725**	**(164,432)**	**(80,297)**
Net income before tax	**242,340**	**117,540**	**328,952**	**172,063**
Income and social contribution taxes	135	-	(69,554)	(38,009)
Net income for the period	**242,475**	**117,540**	**259,398**	**134,054**
Shareholders of parent company	-	-	242,475	117,540
Noncontrolling shareholders	-	-	16,923	16,514
Net income per share - R$	0.14	0.07	-	-

5. Statement of cash flows

ENERGISA S/A
STATEMENTS OF CASH FLOWS
NINE MONTHS ENDED September 30, 2018 AND 2017
(In thousands of reais)

	9/30/2018	9/30/2017
Net Cash from Operating Activities	**822,054**	**1,332,620**
Cash Provided by Operating Activities	**1,937,147**	**1,620,922**
Net income for the period	505,131	339,951
Depreciation and amortization	619,158	587,321
Allowance for doubtful accounts	95,685	89,633
Provisions for labor, civil and tax risks	(66,933)	37,599
Residual value of retired fixed assets	85,874	32,131
Current and deferred income and social contribution taxes	240,962	103,044
Mark-to-market of derivatives	164,444	(26,962)
Derivative financial instruments	(427,971)	174,076
Adjustment to fair value of compensatable financial asset of the concession	(276,116)	(32,125)
Mark-to-market of debt	(42,100)	4,984
(Gain) on the sale of aircraft	-	(18,560)
Expenses on interest and monetary and exchange variance - net	1,039,013	310,158
Provisions for adjustments to realizable value of credits receivable	-	19,672
Changes in Assets and Liabilities	**(1,115,093)**	**(288,302)**
(Increase) in consumers and concessionaires	(564,009)	(501,871)
(Increase) in credit receivables	(66,888)	(1,847)
(Increase) in inventories	(11,644)	(15,402)
(Increase) in recoverable taxes	(219,428)	(113,480)
(Increase) in escrow deposits	(11,608)	(51,995)
(Increase) in financial sector assets (CVA)	(621,241)	(271,195)
(Increase) in other accounts receivable	41,243	(117,104)
Increase in trade payables	345,865	709,503
Increase in taxes and social contributions	179,076	125,027
Income and social contribution taxes paid	(191,272)	(131,487)
Increase in estimated obligations	26,630	27,613
Increase in financial sector liabilities (CVA)	(22,042)	89,578
Increase (decrease) in other accounts payable	225	(35,642)
Net Cash from Investment Activities	**(732,951)**	**(470,105)**
Investment	71	-
Short-term investments and secured funds	339,334	414,681
Allocations to PPE and intangible assets	(1,114,982)	(979,169)
Applications to electricity transmission lines	(67,235)	-
Sale of PP&E and intangible assets	109,861	94,383
Net Cash from Financing Activities	**118,527**	**(821,203)**
New loans and financing obtained	3,969,188	1,658,632
Payment of loans, debentures - principal	(2,372,059)	(1,419,039)
Payment of loans, debentures - interest	(431,428)	(495,712)
Settlement of derivative financial instruments	68,995	(57,703)
Dividend payments	(285,333)	(205,848)
Payment of tax financing	(6,867)	(9,236)
Financing of sector charges	(46,656)	(53,438)
Payment of grid acquisition	(113,584)	(112,467)
Payment of financed payables	(96,311)	(126,392)
Acquisition of additional NCI	(567,418)	-
Increase (Decrease) in Cash and Cash Equivalents	207,630	41,312
Opening Balance of Cash and Cash Equivalents	**921,481**	**797,200**
Closing Balance of Cash and Cash Equivalents	**1,129,111**	**838,512**

Board of Directors

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Chairman

Ricardo Perez Botelho
Deputy Chairman

Marcílio Marques Moreira
Director

Omar Carneiro da Cunha Sobrinho
Director

Antônio José de Almeida Carneiro
Director

Luiz Henrique Fraga
Director

Maurício Perez Botelho
Substitute

Marcelo Silveira da Rocha
Substitute

André da La Saigne de Botton
Substitute

Pedro Boardman Carneiro
Substitute

Leonardo Prado Damião
Substitute

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CEO

Mauricio Perez Botelho
CFO and Investor Relations Director

Alexandre Nogueira Ferreira
Regulatory Affairs and Strategy Director

José Marcos Chaves de Melo
Logistics and Supplies Director

Daniele Araújo Salomão Castelo
Personnel Management Director

Vicente Cortes de Carvalho
Accountant
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